

Managing Conflict in the South China Sea

Austin Coffey

University of Chicago Existential Risk Laboratory

August 15, 2024

Executive Summary:

The South China Sea is a strategically important region for the world's two most powerful states, the U.S. and China, and an area of significant conflicts of interest, policy, and strategy. Both because of these specific conflicts and because of how they inflect and instantiated broader disputes between the United States and China, managing the conflicts in this region is an essential task for the maintenance of world order. This essay assesses these conflicts, and the prospects for their management or resolution, in five parts:

First, it discusses the region through the lens of the political science and historiography on the causes of war. This provides a conceptual basis for assessing the likelihood that disputes turn into conflicts. Second, it assesses China's interests, strategy, and policies towards the region. Third, it discusses the same of the United States. Fourth, it explains the Philippines interests, strategy, and policies towards the South China Sea, with a particular eye towards how domestic politics interacts with foreign policy. Fifth and finally, the essay overviews the interaction of these three actors, with an eye towards (a) identifying the dynamics inimical to peace, and (b) suggesting courses of action most likely to resolve or – more realistically – manage these conflicts.

As an example, such dynamics include the interaction of the Philippines "Transparency Initiative," a policy whereby Manila directly, publicly, and consistently publicizes acts of Chinese coercion in the South China Sea, and China's status as a "Cautious Bully," in the words of Ketian Zhang, whereby the PRC is *more likely* to engage in coercion when other actors increase the saliency of their own acts of coercion. This behavior from Beijing also relies on concepts of reputational costs, "losing face," loss aversion, and resolve signaling. An interview I conducted with Greg Poling offers one potential solution, which would enable Manila still to assign reputational costs to Beijing, and rally Western support, but without the incident-level increase in salience that, per Zhang, increases the likelihood PRC coercive activities. The majority of this essay is descriptive and empirical, with prescriptions in the main reserved for the final section.

I. Introduction: The South China Sea and the Risks of Conflict

The South China Sea

The South China Sea is one of the most important, complex, and geopolitically fraught regions in the world. Materially, approximately \$3.4 trillion of trade, approximately a third of the global total, passes through its waters every year.¹ Estimates for its oil and gas reserves are significant, at around 11 billion barrels of oil and 190 trillion cubic feet of natural gas, though the cost of transporting these hydrocarbons is often prohibitive and most lie at the margins of the Sea rather than in the disputed waters.² Strategically, the South China Sea is essential: it comprises the space between China and the weakest sections of the “First Island Chain,” the ability to break out of which has been a focus for China’s Navy since the 1980s. The maintenance of American alliances that comprise this “First Island Chain” is part of American grand strategy, and, with exceptions, has been since the end of the Second World War.³ Legally, the Sea is deeply contested: six different entities have overlapping territorial claims to its islands, between two of which – China and Taiwan – there is a separate, and vast, dispute over sovereignty. Beyond territorial disputes, there is a profound disagreement on the role of international law, international organizations, internationalization, and maritime jurisdiction in the South China Sea. And, nationally, claims of sovereignty act as intangible incentives, bringing often fiercely concerned publics into the debate about foreign policy and the assertion of territorial claims, whether in Beijing, Hanoi, or Manila.

Conflicting claims and interests in the South China Sea are part and parcel its modern history. For most of its pre-modern history, governments took no notice of the territorial features within it. Fishers, sailors, and traders passed through largely uncontested.⁴ The sea and its features as a public good waned in the run-up to World War II, and, ever since, there have been ongoing territorial disputes. Additional disputes over international law and maritime jurisdiction have surfaced in recent decades. Yet, for most of that history – with the important exceptions of World War II, 1974, 1988, and arguably 1994 – violence, in the sense of organized state military action, has not been the arbiter of these conflicts.⁵

That stability appears, in the eyes of many, to be weakening. Ryan Hass writes in *Foreign Affairs* about “Avoiding War in the South China Sea,” Derek Grossman warns in *Foreign Policy* that “the odds of armed conflict in the South China Sea are high and rising,” with the South China Sea a likelier flashpoint than Taiwan or the Korean peninsula; Philippine Rear Admiral Roy Vincent Trinidad describes Chinese actions in June 2024 as “the most aggressive action ever conducted by agents of aggression of [the] Chinese communist party in the South China Sea.”⁶ A

¹ Greg Poling, *On Dangerous Ground*, 244.

² “A Blueprint for Cooperation on Oil and Gas Production in the South China Sea,” *Asia Maritime Transparency Initiative*, CSIS, July 25, 2018. <https://amti.csis.org/a-blueprint-for-cooperation-on-oil-and-gas-production-in-the-south-china-sea/>, and Poling, *On Dangerous Ground*, 244-5.

³ Greg Poling, *On Dangerous Ground*, 131, 241; Robert Kaplan, *Asia’s Cauldron*, 41.

⁴ Greg Poling, *On Dangerous Ground*, 11.

⁵ Chubb, “PRC Assertiveness in the South China Sea,” 95.

⁶ Ryan Hass, “Avoiding War in the South China Sea,” *Foreign Affairs*, July 9, 2024, <https://www.foreignaffairs.com/united-states/avoiding-war-south-china-sea>. Derek Grossman, “How to Respond to China’s Tactics in the South China Sea,” *Foreign Policy*, May 29, 2024. <https://foreignpolicy.com/2024/05/29/philippines-us-south-china-sea-gray-zone-tactics-alliance-military-treaty/>. Rear Admiral Roy Vincent Trinidad quoted in Derek Grossman, “Philippines and Vietnam’s South China Sea

July 2024 provisional – and as yet, unpublished – agreement between the Philippines and China may have reduced tensions involved in Manila’s efforts to resupply and reconstruct the *Sierra Madre*.

Nevertheless, the risk of conflict endures. This essay seeks to evaluate those risks, and, tentatively, prescribe methods of risk management or reduction. It does so, first, by reviewing some of the relevant literature on the causes of war, bringing those insights to bear on the South China Sea. Second, it overviews the relevant interests, strategies, and policies of the three actors most relevant to the possibility of great power war in the region: China, the United States, and the Philippines. That is not to imply that other state actors – Vietnam, most obviously, but also Japan, Malaysia, Australia, and so on – are irrelevant, nor to deny the significance of international law, embodied in UNCLOS, or international organizations such as ASEAN. Both regional actors and international entities are important to, if not often constitutive of, the disputes at hand and the prospects of their management or resolution. It is only a reflection of this essay’s limited scope. Third and finally, this essay proceeds to assess the interstate dynamics most likely to lead to conflict and offers steps towards risk-mitigation.

Theoretical Sources of Conflict

While not principally a theoretical paper, this essay does engage with the literature on the causes of war. This appears unavoidable given the subject matter. The argument that “X is likely to lead to war” relies on, at least, an implicit theory of why “X” or “things like X” can lead to war.

Following Richard Ned Lebow – who in turn follows Thucydides – one can describe two levels of war causation. The first is that of the conflict itself: what sort of issue is at play? The second is why that issue at play leads to war, when, as adumbrated above in the contest of the South China Sea, most conflicts do not result in war.⁷ Lebow assembles a dataset of 94 great-power wars from 1648 to 2010 and breaks down the underlying causes into four different motivations, each of which relates also to one part of the Platonic soul: fear, interest, and spirit. These motivations are security, corresponding to fear; interest, corresponding to appetite; standing, corresponding to spirit; and revenge, also corresponding to spirit. Recognizing that these motivations may overlap, Lebow nevertheless holds that security is the underlying cause for 19, interests for 8, standing for 62, and revenge for 19.⁸ Lebow further argues for a set of interesting propositions – that “the most aggressive states are rising powers seeking recognition as great powers and dominant great powers seeking hegemony,” for instance, which bears very much on China – but the importance of standing is what matters most for this essay.⁹

If one takes Lebow’s framing that disputes over standing have led to more conflicts than disputes over security, that still leaves open the question of when and why disputes over standing lead to conflict. Broadly, this is the second level of war causation. The thinking that explains the

strategies have failed,” *Nikkei Asia*, July 15, 2024, <https://asia.nikkei.com/Opinion/Philippines-and-Vietnam-s-South-China-Sea-strategies-have-failed>.

⁷ Richard Ned Lebow, *Why Nations Fight*, (Cambridge University Press: Cambridge, 2010), 13.

⁸ Lebow, *Why Nations Fight*, 18.

⁹ Lebow, *Why Nations Fight*, 92.

origin of war at this level most persuasively, in my view, derives from Geoffrey Blainey and James Fearon, and has been expanded and crystallized most recently by Chris Blattman.¹⁰

Blainey argues in his formidable book *The Causes of War* that "war is a dispute about the measurement of power." Indeed, "one can almost suggest that war is usually the outcome of a diplomatic crisis which cannot be solved because both sides have conflicting estimates of their bargaining power."¹¹ The logic here is that peace relies not on a lack of conflict, but on general agreement about how such conflict would unfold. Both sides share a general perception that one would win, and so they compromise or compel in accordance with that imbalance of power. Chris Blattman, in his contemporary and somewhat more rigorous *Why We Fight*, builds on this theory of conflict. Drawing from James Fearon to detail the space for bargaining room between two sides, Blattman explains the game theoretic logic as to why, the vast majority of the time that groups have entrenched disagreements or even enmity, they nevertheless decline to wage war with one another.¹² At core, the concern is that fighting almost always destroys at least part of the thing interested parties would be fighting over, and success is uncertain. The expected value of compromise, then, almost always outweighs the expected value of conflict.¹³

Of course, the "almost always" performs yeoman's work in that sentence. Blattman offers five main reasons why compromises are missed or unmakeable: Unchecked Interests, Intangible Incentives, Commitment Problems, Uncertainty, and Misperceptions.¹⁴ Some of these concerns are more obviously related to Lebow's first-order causes of wars than others: Commitment Problems and Uncertainty relate more directly to concerns about security; Intangible Incentives relates more directly to concerns about standing and revenge; Unchecked Interests connects most directly with concerns about interests. That said, second-order concern can and does bear on first-order concerns. Unchecked interests – rulers who are not accountable to or much concerned with the public, and so who will not internalize the costs of war undergone by the populace in a conflict, will therefore be more willing to go to war over questions of standing, not just questions of interest.

The disputes between countries in the South China Sea involves multiple first-order causes, in Lebow's framing: economic interests, security, and standing. However, a significant body of research suggests that, for the most part, economics is not the driver of state policy in the region. Andrew Chubb argues that resource exploitation is at most an accelerant, rather than the origin cause, of PRC assertiveness in the South China Sea.¹⁵ Similarly, Greg Poling observes that "tensions over the South China Sea predate the discovery of offshore oil and gas by decades," and that the limited amount of oil and the difficulty of transporting gas are animate against the South China Sea dispute's principal motivation being resource extraction.¹⁶ Furthermore, the majority of oil and gas resources within the South China Sea are not within the 9-dashed line that

¹⁰ Blainey and Fearon are known as the pioneers of the "rationalist" theory of war, to which Richard Ned Lebow objects, viewing it as an alternative, not a substitute, for his theory. Blattman's book is not as fundamentally rationalist, though it draws a great deal on Fearon's contributions, including for its central metaphor of pie-splitting.

¹¹ Geoffrey Blainey, *The Causes of War*, (The Free Press: New York, 1973), 114.

¹² Blattman, *Why We Fight*. Blattman notes, for instance, that out of all the ethnic groups in Africa that are close enough to compete, approximately one out of two thousand actually fight per year (8). Blattman draws on James Fearon's seminal 1995 paper, "Rationalist Explanations for War," *International Organization* 49 (3): 379-414, to make his broader bargaining case, from which he also derives the example of a pie that can be compromised over.

¹³ Blattman, *Why We Fight*, 26-9.

¹⁴ Blattman, *Why We Fight*, 14-5.

¹⁵ Chubb, "PRC Assertiveness," 101.

¹⁶ Poling, *On Dangerous Ground*, 245.

China and Taiwan claim, which further lessons the explanatory power of resource extraction as a source of conflict.¹⁷ That all said, oil and gas reserves and the competition over them do matter: former Philippine Secretary of Foreign Affairs Albert Del Rosario commented in 2012, about Reed Bank which is within the Philippines' Exclusive Economic Zone but also within China's 9-dash line, that "we realize that the hydrocarbon deposits there are very important to our future. We need those resources for our economic development as quickly as possible. It could be the game-changer for us."¹⁸ As of this writing, the Philippines currently cannot access up to 30% of their Exclusive Economic Zone due to Chinese coercion. That is a motivation.¹⁹

Security also has a role, but a relatively small one. David Welch and Mark Raymond argue, on the basis of a series of interviews with PRC officials, that the island construction and militarization campaign that the PRC undertook from roughly 2013-2016 was the first step towards the declaration of an Air Defense Identification Zone (ADIZ) in the South China Sea. Beijing declared an ADIZ over the East China Sea in November 2013, of which Raymond and Welch write: "In retrospect, it is clear that China's East China Sea ADIZ was a major misstep, reinforcing fears of what many were beginning to see as China's regional hegemonic ambitions."²⁰ For reputational reasons, then, Beijing seems to have backpedaled from declaring an ADIZ in the South China Sea. On the American side, Taylor Fravel and Charles Glaser argue that "China's militarization of the Spratly Islands has contributed little or nothing to the increased challenges that the United States faces in defending its Northeast Asian allies."²¹ In an actual conflict involving Taiwan, the Philippines, Japan, or South Korea – key U.S. allies for whose security the United States understands itself to be partly responsible – the U.S. would not need to transit the South China Sea. If it wished to do so nevertheless, say Fravel and Glaser, "a modest, albeit not insignificant, diversion of U.S. forces would be sufficient to destroy [Chinese bases]."²²

Standing, conversely, explains a great deal of the dispute in the South China Sea, perhaps especially for China and the United States. Welch and Raymond hold that, to the extent China has been aggressive, "it has been in pursuit not of hegemony, domination, or territorial expansion... but of respect and standing."²³ Zheng Wang argued that, at the turn of the century, "national dignity, face, and respect from other countries, have become equally important or even more important than China's material interests such as trade, security, and territory."²⁴ Of course, first-order concerns are often not, to use a maritime metaphor, insular. Fravel and Glaser demonstrate discuss one mechanism of interaction:

Concerns about status may also help to explain China's focus on asserting rights to oil and gas resources, given the limited value of the resources. Such assertions are a way for China to demonstrate its desire for dominance and insist upon deference. We argue that China cares less about the resources and more about whether the other claimants will concede to China's

¹⁷ "A Blueprint for Cooperation on Oil and Gas Production in the South China Sea," *Asia Maritime Transparency Initiative*, CSIS, July 25, 2018. <https://amti.csis.org/a-blueprint-for-cooperation-on-oil-and-gas-production-in-the-south-china-sea/>, and Poling, *On Dangerous Ground*, 244-5.

¹⁸ Albert Del Rosario, quoted in Bill Hayton's *South China Sea*, 193.

¹⁹ Derek Grossman, "How to Respond to China's Tactics in the South China Sea."

²⁰ Raymond and Welch, "What's Really Going On," 220.

²¹ Fravel and Glaser, "How Much Risk," 112.

²² Fravel and Glaser, "How Much Risk," 114.

²³ Raymond and Welch, "What's Really Going On," 230.

²⁴ Wang, *Never Forget National Humiliation*, p. 135

demands for joint development in those parts of their EEZs that overlap with the nine-dash line and thus recognize China's historic rights in the South China Sea.²⁵

At the second-order level of war causation, in Blattman's framing, it is intangible incentives that are most obviously applicable to the South China Sea. Intangible incentives defy bargaining logic by complicating compromise. As Blattman writes, "three of them – righteous outrage, ideologies, and the quest for glory and status – have eroded grounds for compromise throughout history."²⁶ Intangible incentives are closely tied to the existence of "issue indivisibility," entities that cannot be readily split into bargain-based pieces, which further reduce the opportunities for compromise.²⁷ How states conceive of the issue under dispute is not, importantly, exogenous to the question of whether the issue under dispute is indivisible. Insofar as the Philippines and China are contesting Scarborough Shoal on the basis of the fish to be caught there, it is not an issue that is indivisible. Fish can be managed and shared. Insofar as they are contesting Scarborough Shoal on the basis of whether jurisdiction should be determined by UNCLOS or the nine-dashed-line, however, the issue seems indivisible; at least since the 2016 Permanent Court of Arbitration Tribunal decision, it is hard to see how both regimes can apply.²⁸ Issue indivisibility and intangible incentives ladder out of concern about standing easily, as the dispute ceases to be about the issue itself and more about one's right to resolve the issue.

The concept of a commitment problem, in which one actor is expected to grow relatively stronger in the future, which renders promises or policies of restraint not credible, applies less directly to the South China Sea. China has, by virtue of both specific policy choices and its overall military modernization and economic growth, dramatically increased the military power it can bring to bear in the South China Sea. And, as Andrew Chubb writes, "since the 2000s, power has overtaken proximity as the key determinant of on-water control and presence in the disputed area."²⁹ The issue facing other South China Sea claimant states vis-à-vis commitment problems is whether – were China to offer a 'bargain' that was acceptable to other states – they could accept it, expecting China to have more power and thus bargaining leverage in the future. This is not, however, as clear of a causal factor as the "Intangible Incentives," however, for the important reason that China is not in the main offering deals to other countries that would be acceptable in the short-term but are not credible in the long-term.

Uncertainty – which is the piece of second-order war causation where Blattman draws most directly from Blainey – bears on South China Sea disputes insofar as claimant states and interested parties diverge meaningfully in their perceptions of relative power. This applies most directly in bilateral assessments of capacity, which does bear on U.S.-China relations – whereas the past four decades were marked by American military dominance, the outcome of a theatre war over Taiwan or the South China Sea is now markedly less clear – but it applies even more so in alliance politics.³⁰ A recurrent feature of the Philippines-U.S. alliance has been concern on the

²⁵ Fravel and Glaser, "How Much Risk," 108.

²⁶ Blattman, *Why We Fight*, 50.

²⁷ "Issue indivisibility and territorial claims," Paul R. Hensel and Sara McLaughlin Mitchell, *GeoJournal* Vol. 64, No. 4, Territorial Conflict (2005), 275.

²⁸ Note that this is not express indifference between those two regimes.

²⁹ Chubb, *Dynamics of Assertiveness*, 10.

³⁰ Jim Steinberg and Michael O'Hanlon, *Strategic Reassurance and Resolve*, 17-18; Heginbotham, Eric, Michael Nixon, Forrest E. Morgan, Jacob L. Heim, Jeff Hagen, Sheng Tao Li, Jeffrey Engstrom, Martin C. Libicki, Paul DeLuca, David A. Shlapak, David R. Frelinger, Burgess Laird, Kyle Brady, and Lyle J. Morris. "The U.S.-China

Philippines' side about abandonment and concern on the American side about entrapment.³¹ The U.S. wishes to maintain its alliance commitments even as it avoids entanglement in sovereignty disputes over the land features in the South China Sea; the Philippines question the value of an American alliance, if it is questionable in the most foreseeable conflict. While this issue has been largely resolved for the moment – with the United States affirming in the Trump administration and then reaffirming in the Biden administration that the Mutual Defense Treaty does apply to the South China Sea – it may very well surface again.³² Uncertainty about the degree of U.S. response, and thus the forces marshalled on either side, could accelerate conflict in the South China Sea.

Perceptions and misperceptions are frequent in the murky waters of the South China Sea, and they operate at several levels. Blattman outlines three major forms of misperception: “That groups can be overconfident in their chances of success; that they can mistakenly project their own beliefs and information onto their rivals; and that they can misconstrue motives, attributing the worst intentions to their rivals.”³³ Misperceptions of the second sort – those of beliefs and information – pertain especially to diagnoses of the status quo in the South China Sea. Scholars such as Ketian Zhang, Mark Raymond, and David Welch largely argue that China is – in the words of the latter two – “playing defense, not offence.”³⁴ Greg Poling and Andrew Chubb, however, generally see China as engaged in a process of continually undermining and altering the status quo to its own advantage, with Chubb arguing that the overall pattern of PRC policy from 1970-2015 is that of year-over-year increased assertiveness driven mainly by internal dynamics and geopolitical opportunism.³⁵

If perceptual questions about the status quo bedevil the South China Sea, empirical questions further chop the waters. For instance, Philippines President Rodrigo Duterte is reported to have made a “gentleman’s agreement” with Chinese President Xi Jinping that the Philippines would make no efforts to repair and stabilize the *Sierra Madre*, the Philippine Navy ship beached on Second Thomas Shoal in 1998 in response to the Chinese occupation of Mischief Reef in 1994, in exchange for Filipino fishermen regaining access to Scarborough Shoal, which lies well within Manila’s Exclusive Economic Zone but which was controlled by the PRC. President Ferdinand Marcos, Jr., stated that he has not heard from Duterte officials a clear answer over its nature and

Military Scorecard: Forces, Geography, and the Evolving Balance of Power, 1996–2017.” RAND Corporation (2015): xxii.

³¹ Poling, *On Dangerous Ground*, 8.

³² Poling, *On Dangerous Ground*, 236; Kathleen Magramo, “Blinken stands by US’ ‘ironclad commitment’ to defend Philippines amid fears of China conflict,” March 20, 2024, *CNN*, <https://www.cnn.com/2024/03/20/asia/blinken-philippines-south-china-sea-intl-hnk/index.html>. Note that the degree of U.S. clarity has waxed and waned over time, with Secretary of State Cyrus Vance in the Carter administration expressing more direct support than did the Secretary of State Clinton in the first term of the Obama administration. Ketian Zhang argues persuasively that the belief that the U.S. would not intervene was an enabling factor for the Chinese seizure of Scarborough Shoal in April-May 2012 (“Cautious Bully,” 152-3).

³³ Blattman, *Why We Fight*, 137.

³⁴ Raymond and Welch, “What’s Really Going On,” 231. Similarly, Ketian Zhang characterizes China as a “Cautious Bully,” and argues that China’s assertion in the South China Sea has largely been a reaction to the perceived assertions of other claimant states. That notwithstanding, Zhang adds, “I do not mean that China is the victim in maritime disputes. Of course, China is not always reactive and has used proactive coercion, including land reclamation in the South China Sea, especially in 2015” (“Cautious Bully,” 132-3).

³⁵ Chubb, “PRC Assertiveness,” 120-1. Similarly, Poling concludes *On Dangerous Ground* by writing that “The United States and its allies are ‘losing’ the South China Sea. They haven’t yet ‘lost’” (255-6).

scope, but that “if that agreement says we need to seek permission from another country to be able to do something within our own territory, it would probably be difficult to honor that.”³⁶

The China-Philippines standoff over Scarborough Shoal, discussed more later, is a further example of both perceptual and empirical complications. The Philippines understood themselves to be enacting international law by arresting Chinese fishermen who were fishing illegally and de-escalating the situation by turning them over the Chinese fishing boats; China perceived the Philippines to be challenging China’s resolve and rights and attempting to internationalize the issue by drawing the United States into the standoff. It was these divergent perceptions, far more so than the particular fish and fishermen, that spoiled a de-escalatory resolution. There was also either diverging perceptions or deception between American and Chinese negotiators who sought a face-saving solution for everyone based on mutual withdrawal, with the Americans generally holding that the Chinese violated a good-faith agreement and the Chinese holding that there was no agreement reached in the first place, only a promise to bring the matter to Beijing.³⁷ Such divergent perceptions – deriving in significant part from different conceptions of the status quo – complicate substantive resolutions between claimant states, particularly between China and the ASEAN states.

In sum, there are both first-order and second-order causes of conflict in the disputes in and over the South China Sea. That, however, is not inherently grounds for pessimism. Most disputes – even those that involve some level of intangible incentives, uncertainty, commitment problems, and misperceptions – do not lead to war. To develop a better sense of the prospects for conflict, as well as mitigation and prevention mechanisms, this essay now turns to examine the three actors whose interactions seem most likely to lead to great power war in the South China Sea: China, the United States, and the Philippines.

³⁶ “South China Sea: Philippines’ Marcos ‘horrified’ by Xi-Duterte ‘gentleman’s agreement’ for status quo in disputed waters,” *South China Morning Post*, April 10, 2024, <https://www.scmp.com/news/asia/southeast-asia/article/3258506/south-china-sea-philippines-marcos-horrified-xi-duterte-gentlemans-agreement-status-quo-disputed>.

³⁷ Poling, *On Dangerous Ground*, 191-2; Ketian Zhang, “Cautious Bully,” 145.

II. The People's Republic of China

China's Interests in the South China Sea

Lakes of ink and forests of trees have been sacrificed in the attempt to articulate and explain China's grand strategy. This literature has many fault lines – beginning with the question of whether grand strategy is a useful analytical tool at all.³⁸ Of those who believe it is, diagnoses of China's grand strategy run the gamut from the pursuit of international hegemony to an internal focus on peaceful development.³⁹ Abiding between these poles, others believe China's particular combination of Confucianism and Communism leads it to seek to operate at the limits of its ability; that China seeks to *displace*, but not necessarily *replace*, American hegemony; that Beijing calls for its full-scale replacement with a Chinese-led regional and global order; that the PRC is “Haunted by Chaos” and seeks security and status; and, of course, a host of other constructions.⁴⁰ China under Xi Jinping professes a grand strategy of the “Chinese dream [of] national rejuvenation.”⁴¹

Rather than attempt to adjudicate this dispute and offer a definitive account of China's grand strategy, this essay will simply identify several of the elements of China's grand strategy that are relevant for the South China Sea – regardless of what the ‘ultimate’ grand strategy entails. These include sovereignty; standing; security; and secondary concerns, such as oil and gas exploitation, marine science surveys, and fishing access.

Jim Steinberg and Michael O'Hanlon describe the “national security narrative” at the heart of China's foreign policy in *Strategic Reassurance and Resolve* with reference to the “Century of Humiliation,” the years generally understood to last from the Opium Wars in 1839 to the end of the Chinese Civil War in 1949. They write: “At the highest level of generality, avoiding a repetition of these periods and reversing the losses that occurred during this time is a fundamental national imperative almost universally endorsed among Chinese.”⁴² What others have described as a “proud civilization” possessed of “profound self-regard” suffered incredible material and psychological losses when it lost control of its national sovereignty.⁴³ China

³⁸ See, for instance, the exchange between Daniel Drezner, Ronald Krebs, and Randall Schweller, on the one hand, and Jim Steinberg and Frank Gavin, on the other, in *Foreign Affairs*. The former three write “The End of Grand Strategy,” (<https://www.foreignaffairs.com/articles/world/2020-04-13/end-grand-strategy>) to which the latter two reply, “Foreign Policy Needs a Road Map” (<https://www.foreignaffairs.com/articles/united-states/2020-06-09/vision-thing>).

³⁹ See, generally, John Mearsheimer's *The Tragedy of Great Power Politics*, and, generally, Jeffrey Sachs's writing and commentary on China. Of course, China itself professes an aspiration of “Peaceful Development,” shifted from “Peaceful Rise” on the grounds that even a “Peaceful” rise might seem too threatening. Steinberg and O'Hanlon, *Strategic Reassurance and Resolve*, 30.

⁴⁰ Henry Kissinger often expressed the view that China's particular combination of Confucianism and Communism compelled it to seek to operate at the limits of its abilities, but not necessarily to pursue hegemony; Paul Heer, “Hostility Between the United States and China Looks Increasingly Inescapable,” *National Interest*, September 25, 2023, (<https://nationalinterest.org/feature/hostility-between-united-states-and-china-looks-increasingly-inescapable-206830>); Aaron L. Friedberg, “An Answer to Aggression,” *Foreign Affairs*, August 11, 2020, <https://www.foreignaffairs.com/articles/china/2020-08-11/ccp-answer-aggression>; Sulmaan Wasif Khan, *Haunted by Chaos*, (Harvard: Cambridge, 2022).

⁴¹ Zhao Yanan, “‘Chinese Dream’ Is Xi's Vision,” *China Daily*, March 18, 2013, http://www.chinadaily.com.cn/china/2013npc/2013-03/18/content_16315025.htm

⁴² Steinberg, James; O'Hanlon, Michael E.. *Strategic Reassurance and Resolve: U.S.-China Relations in the Twenty-First Century* (p. 32). Princeton University Press.

⁴³ Raymond and Welch, “What's Really Going On,” 230; Robert Daly, interviewed on Kaiser Guo's *Sinica*.

understands itself to have sovereignty over the totality of the South China Sea – for reasons of questionable historiography, to be discussed shortly – but this conception establishes sovereign control over the South China Sea as a neuralgic lightning rod for Beijing.

Standing, also, matters. As discussed, Richard Ned Lebow argues that a significant majority of wars (62 out of 94) from 1648 to 2010 involving a great rising power were caused by standing – over and above fear, interest, or revenge.⁴⁴ That sense of standing inflects conflicts over the South China Sea. Professors Mark Raymond and David Welch have argued that the “loss of face” that attended China’s defeat at the 2016 UNCLOS Tribunal should be understood in this light, and that Beijing’s sense of being a great power that is insufficiently accommodated or respected intensified given that the Philippines – “a small, upstart country” – dared to raise the case.⁴⁵

Standing influences China’s actions in at least two ways in the region. It seeks, first, not to be defied by other, smaller countries, in its assertion of its ‘rights,’ which can lead in the direction of unilateralism and coercion; but it also seeks to be a rule-maker in the region and the world. Such rules require legitimacy beyond that which unilateral coercion affords, deriving from multilateralism, the practice of rulemaking, and being seen as a steward of global public goods.⁴⁶ China is thus pulled in two different directions by standing in the South China Sea. Standing is also tied deeply to sovereignty: in some sense, the more standing China is afforded, the less likely that other states will contest its conception of its sovereignty.

Security – particularly the notion of “strategic depth” – also underpins Chinese strategy towards the South China Sea.⁴⁷ Most of China’s most developed and populated provinces are in the south, bordering the South China Sea, and Chinese analysts argued for expanding the space between those homelands and potential adversaries.⁴⁸ This, too, is not without historical rationale: as World War II commenced in Asia in 1937, the Japanese occupation of Pratas Reef in the South China Sea preceded and enabled the Imperial Japanese Navy’s blockade of the entire coast of China and bombardment of Hainan Island.⁴⁹

Finally, there are several secondary concerns that influence but do not ground Chinese strategy towards the South China Sea. Most obviously, these include economic interests: oil and

⁴⁴ *Why Nations Fight*, 94. Lebow clarifies that motives can interact and overlay. Thus, he finds “107 motives for 94 wars,” 171.

⁴⁵ Raymond & Welch, 228-9. It is difficult to avoid some whiff of orientalism when discussing this subject. The concept of “loss of face” is simultaneously a real concept that has been articulated to me by Chinese friends, a culturally valenced version of a more universal “loss aversion,” and an oft-overused catch-phrase that can substitute for real thinking. How different is China’s reaction here to that of other great powers challenged by smaller powers historically? A similar concern applies to the concept of *Tianxia*, translated generally to mean “Everything Under the Heavens,” which can be quite easily simplified beyond utility. Howard French’s book titled *Everything Under the Heavens* does a better job than most at describing the above and its implications for China’s foreign policy. This conception of *Tianxia* is, however, contested; Chinese scholar Xu Jilin, for instance, argues that *Tianxia* was historically a quite open form of civilization that accepted significant measures of self-governance from minority populations and did not insist on tribute or regional hierarchy, and it was the introduction of Western conceptions of the nation-state, sovereignty, and international jurisdiction that transmuted *Tianxia* into a more dominance-oriented mode of political organization. See, “The New Tianxia: Rebuilding China’s Internal and External Order,” in *Reading the China Dream* <https://www.readingthechinadream.com/xu-jilin-the-new-tianxia.html>.

⁴⁶ Raymond and Welch, “What’s Really Going On,” 225.

⁴⁷ Hayton, Bill. *The South China Sea: The Struggle for Power in Asia*. New Haven: Yale University Press, 2014, 252.

⁴⁸ Kaplan, Robert. *Asia’s Cauldron: The South China Sea and the End of a Stable Pacific*, (New York: Random House), 2014, 41.

⁴⁹ Poling, *On Dangerous Ground*, 20.

gas exploitation and fishing, on the one hand, and secure lines of trade on the other. Several scholars have argued that economic interests are best considered an accelerant, rather than a driver, of conflict in the South China Sea.⁵⁰ While the estimates of oil and gas reserves in the South China Sea are significant – and highly varied – most of those reserves are concentrated in the territorial waters of other claimant states, which not even China seeks to dispute.⁵¹ Moreover, disputes over territory long preceded the attempt to exploit oil and gas. The question of maritime jurisdiction, which China disputes with its neighbors-at-sea, is more closely connected to oil and gas, but is still more about sovereignty than energy security. China is, thoroughly, a trading nation, and the prospect of the South China Sea – through which \$3.4 trillion of trade passes every year – is a damaging one.⁵² However, there is little reason to believe this is likely, short of all-out great power war between China and the United States, in which case other security threats will likely outpace this one.

These are, of course, not the only ways to describe the components of China's strategy in the South China Sea. Bill Hayton argues, in his history of *The South China Sea*, that there are four modes of Chinese interest – roughly corresponding to one motivator of standing, two of fear, and one of interest:

A sense of historic entitlement to the South China Sea combined with a desire for national prestige, the need for 'strategic depth' to protect China's coastal cities, the desire to guarantee strategic access to the open waters of the Indian and Pacific oceans, and the wish to have access to the resources of the Sea itself – particularly its fish and hydrocarbons.⁵³

Hayton also describes the conflicts between these goals as stemming from China's bureaucratic politics, of which more anon. In my assessment, standing explains more of the conflict than do oil and gas, trade access, or strategic depth – but a point of interest is that the mechanism by which one resolves conflicts over oil and gas could itself be the source of a resolution of standing disputes. Confidence-building measures that begin as a means of de-escalation could lead in the direction of a shared conception of standing.

China's Claims in the South China Sea

Taylor Fravel argues that China's strategy in the South China Sea consists principally of "delaying the resolution of the dispute," which – as Beijing is actively changing the facts on the ground and considers itself to have time on its side – will allow it to "consolidate China's

⁵⁰ Chubb, in "PRC Assertiveness in the South China Sea," writes of the 1974 battle with South Vietnamese forces in the Paracels that "While the potential resource bounties may have contributed to the PRC's calculations, they probably were not a central motivation," (101) and expresses similar skepticism about energy driving PRC conflict with Vietnam in 1988, though he notes "Energy resources were more plausibly a direct contributor to the PRC's assertive surge from 1992 than in 1973 or 1987, though the evidence is not conclusive" (110). Similarly, while recognizing the pursuit of energy resources, Greg Poling notes that "tensions over the South China Sea predate the discovery of offshore oil and gas by decades," *On Dangerous Ground*, 245. Furthermore, it is very difficult to disentangle whether China objects to another country's exploration of oil and gas resources because Beijing desires those oil and gas resources or because it considers such exploratory efforts a violation of its sovereignty.

⁵¹ Poling, *On Dangerous Ground*, 114.

⁵² Greg Poling, *On Dangerous Ground*, 244.

⁵³ Bill Hayton, *South China Sea*, 252.

claims... and to deter other states from strengthening their own claims at China's expense."⁵⁴ This has also been described as the strategy of "talk and take," more pithily, by Bill Hayton, *inter alia*.⁵⁵ Somewhat more abstractly, Feng Zhang, in "China's Long March at Sea: Explaining Beijing's South China Sea Strategy, 2009–2016," argues that China's strategy towards the South China Sea seeks to dialectically balance safeguarding its rights and maintaining stability.⁵⁶ Isaac Kardon concurs that both matter for Beijing, but argues that "in pressing its claims, Beijing's priority on 'safeguarding rights' has evidently come to outrank the desire for 'safeguarding stability.'"⁵⁷

What precisely those "rights" constitute is important: China's assertion of territorial sovereignty over nearly the totality of the South China Sea brings it into conflict with five other claimants who maintain possession over some islands: Vietnam, the Philippines, Malaysia, Brunei, and Taiwan. Furthermore, China's conception of maritime jurisdiction over the actual waters of the South China Sea within the "nine-dashed line" – a decades-old issue as distinct from the centuries-old territorial disputes – places it not only in conflict with other Southeast Asian maritime states, but also with parties interested in the norms and laws governing the South China Sea, such as the United States, UNCLOS, and ASEAN.

China's claim to all the territorial features of the South China Sea is neither new nor unique. Not only the PRC but also Taiwan claims every feature in the region; Vietnam claims all of the Spratlys and Paracels; the Philippines, Brunei, and Malaysia claim part of the Spratlys; Scarborough Shoal is claimed by both the Philippines and China.⁵⁸ It is a notable feature of the dispute that both China and Taiwan claim every territorial feature in the South China Sea. Taiwan prosecutes its claims differently than does China, but discussions of the PRC's aspirations in the South China Sea which are based on Communism miss this nuance.

The PRC claims "indisputable sovereignty over the islands in the South China Sea and the adjacent waters, and enjoys sovereign rights and jurisdiction over the relevant waters as well as the seabed and the subsoil thereof," which it states is supported by "abundant historical and legal evidence."⁵⁹ It describes China's sovereignty as existent since "ancient times" or "time immemorial."⁶⁰

Yet the history of the region problematizes these claims. Greg Poling observes that there is no evidence Qing officials objected to the Vietnamese Emperor Gia Long's annexation of the Paracels in the early 19th century. In the late 19th century, when insured British copper was salvaged by Chinese fishermen on the Paracels, the British embassy in Beijing and consulate in Hoihow (Haikou) transmitted claims to Chinese officials; they replied that the islands were unclaimed, and they had no jurisdiction over them. Chinese disinterest in the islands only began

⁵⁴ Fravel, M. Taylor. "China's Strategy in the South China Sea." *CONTEMPORARY SOUTHEAST ASIA* 33, no. 3 (2011): 292. <https://doi.org/10.1355/cs33-3b>.

⁵⁵ Bill Hayton, *South China Sea*, 88.

⁵⁶ Zhang, Feng. "China's Long March at Sea: Explaining Beijing's South China Sea Strategy, 2009–2016." *The Pacific Review* 33, no. 5 (September 2, 2020): 757–87. <https://doi.org/10.1080/09512748.2019.1587497>. 18

⁵⁷ Kardon, *China's Law of the Sea*, 4. The Chinese characters are '维权' and '维稳.'

⁵⁸ Poling, Gregory B.. *On Dangerous Ground: America's Century in the South China Sea* (p. 1). Oxford University Press. Kindle Edition.

⁵⁹ People's Republic of China, "China Note Verbale No. CML/8/2011, 14 April 2011," in *Oceans and Law of the Sea*, United Nations, http://www.un.org/Depts/los/clcs_new/submissions_files/vnm37_09/chn_2011_re_phl_e.pdf

⁶⁰ Chung, C. P. (2013). "Since Time Immemorial": China's Historical Claim in the South China Sea (Master's thesis, University of Calgary, Calgary, Canada). Retrieved from <https://prism.ucalgary.ca>. doi:10.11575/PRISM/27791, 3-6.

to change in the early 20th century, in line with increasing attention paid to the islands by Japanese miners of guano and French representatives of Paris and the protectorate of Annam.⁶¹

When the French claimed the Paracels in 1932 as part of that protectorate, Chinese officials objected, declaring that the Paracels constituted China's southernmost territory –thereby disclaiming the Spratlys, some 540 miles south of the Paracels.⁶² Defenders of China's claim dispute this evidence. They argue that, during the Song and Yuan dynasties, many Chinese accounts suggest that China considered the South China Sea its own; during the Ming and Qing dynasties, several Chinese official maps depicted the Spratlys as Chinese territory.⁶³ The Chinese Foreign Ministry has argued that Chinese explorers during the Han dynasty explored and referenced the Spratly (Nansha) Islands, which Bill Hayton disputes on the grounds that such a reference was more likely “to have involved questioning foreign traders arriving at ports than independent voyaging.”⁶⁴ Hayton also makes the empirical case that sovereignty over the sea was not much an issue until European conceptions of maritime jurisprudence entered Asia alongside European colonialism. Prior, what scholars of Southeast Asia term *Mandalas* – polities whose limitations were not clearly delimited territorially but rather on the basis of power and relationship networks, and did not extend to claiming the sea itself – were common.⁶⁵ This debate, of course, is difficult to resolve empirically. Multiple states have reasonable historical claims to land features in the South China Sea.

China does not admit the possibility of such historical dispute. Professors Mark Raymond and David Welch, in a paper titled “What's Really Going on in the South China Sea” which involved interviewing a series of Chinese government officials, write that: “We are convinced that the Chinese genuinely believe that all of the territorial features in the South China Sea are sovereign Chinese territory.”⁶⁶ More strikingly, Robert Kaplan quotes Chinese navy commander Wu Shengli: “How would you feel if I cut off your arms and legs? That's how China feels about the South China Sea.”⁶⁷

By 1948, the Republic of China was consistently asserting territorial claims to all the land features in the South China Sea, and it was doing so in a distinct way. The ROC – one year before fleeing the mainland – published that year a map with eleven dashes, also sometimes called the “U-shaped line,” which surrounded all the islands of the South China Sea. Though it was somewhat unclear whether this line was intended to describe islands to which China already had claim or to which China should lay claim, by 1952 the issue had been settled: both the PRC and the ROC now claimed all the land features of the South China Sea, from the Paracels not far from Hainan to the southernmost Spratlys. Though the eleven-dash line lost two dashes during the Vietnam War, as show of comradeship with Ho Chi Minh, its successor, the nine-dash line

⁶¹ Poling, *On Dangerous Ground*, 12.

⁶² Poling, Gregory B.. *On Dangerous Ground: America's Century in the South China Sea* (p. 1). Oxford University Press. Kindle Edition., 12-5.

⁶³ Li, Mingjiang. “Reconciling Assertiveness and Cooperation? China's Changing Approach to the South China Sea Dispute,” *Security Challenges*, Volume 6, Number 2 (Winter 2010). 53.

⁶⁴ Hayton, *South China Sea*, 11.

⁶⁵ Hayton, *South China Sea*, 38-40; 46-7.

⁶⁶ Raymond, Mark, and David A. Welch. “What's Really Going On in the South China Sea?” *Journal of Current Southeast Asian Affairs* 41, no. 2 (August 2022): 214–39. <https://doi.org/10.1177/18681034221086291>. 230.

⁶⁷ Kaplan, Robert. *Asia's Cauldron: The South China Sea and the End of a Stable Pacific*, (New York: Random House), 2014, 41.

(and as of 2023, the ten-dashed line), has grounded Chinese cartography and geopolitics ever since.⁶⁸

It is worth noting that, whatever the contested historiography of China's claims, it is perfectly legal for China to claim all the islands of the South China Sea. China's claims to possessing the islands since "time immemorial" may not be empirically correct, but they are certainly just as, if not more, historically legitimate than some of the other attempts to claim islands by the nearby maritime powers (for instance, see the discussion of "Freedomland" in section IV). Historically, there have been five mechanisms in European law and praxis for acquiring territory: conquest, cession, occupation, prescription, and accretion. After the Second World War, conquest was struck from the list.⁶⁹ China makes claims both due to occupation, as do the other claimant, and through cession, by virtue of the Japanese relinquishing of the islands at the end of the Second World War in the treaty of San Francisco – though, importantly, Japan did not declare to whom it was ceding the islands of the South China Sea.⁷⁰ In short, no one has an airtight historical case for maximal territorial claims in the South China Sea.

The meaning of the nine-dashed line underwent a deep transformation by the early 1990s. The map – which had heretofore been a cartographic convenience for delimiting territorial claims – began to be reconceived as a national boundary, within which all waters and rights belonged to China.⁷¹ This was the belief of both Taipei and Beijing, as Poling writes:

For decades, both had doggedly asserted sovereignty over the Nansha and Xisha Islands. They occasionally objected to foreign activities in waters near the islands, such as Philippine oil and gas exploration at Reed Bank in the late 1970s. But that rested on their claims to maritime zones generated by the islands.... But by the late 1980s, that had started to change. Important voices in China and Taiwan were reinterpreting the old U-shaped line, which had become the nine-dash line in the PRC. All evidence suggests that the line was originally meant as a visual indicator that China claimed all the islands inside it. But now history was being rewritten. On both sides of the Taiwan Strait, the dashes began to take on a new meaning as an ill-defined national boundary. And within that boundary, all rights should belong to China.⁷²

This reconceptualization is the genesis of the South China Sea conflict as such. Prior, conflict certainly existed in the South China Sea, but it was – quite literally – *grounded* in territorial disputes. China and Vietnam fought two brief shooting wars, with China acquiring new islands, in 1974 and 1988, and there were intermittent disputes over how much of the water surrounding various islands claimant states were entitled to, but there was no conception of internal waters to which China alone was entitled until this first, post-Cold War decade.

The legal framework for resolving claims on maritime jurisprudence – the United Nations Convention on the Law of the Seas (UNCLOS) – was finalized in the 1980s. On December 10, 1982, after decades of negotiation, 119 countries voted for the Convention (including China), 17 abstained, and four (including the United States, despite being a leader of negotiations under all

⁶⁸ Poling, *On Dangerous Ground*, 30.

⁶⁹ Hayton, *South China Sea*, 92-3.

⁷⁰ Poling, *On Dangerous Ground*, 32.

⁷¹ Poling, *On Dangerous Ground*, 155.

⁷² Poling, *On Dangerous Ground*, 155.

administrations prior to the Reagan administration) voted against.⁷³ UNCLOS renders illegitimate China's claims to maritime authority over the waters of the South China Sea except insofar as they derive from islands, rocks, or LTEs in the South China Sea over which China has sovereignty, the adjudication of which UNCLOS has no role in, and several other limited exceptions, such as traditional fishing rights at Scarborough Shoal. Of course, this does not apply exclusively to China – the Philippines, up until 2009, asserted rights to the South China Sea that were not based on UNCLOS.⁷⁴ Whether the language of the PRC is “historic waters” or “adjacent waters”, UNCLOS does not admit of such concepts, and China is a signatory of UNCLOS.⁷⁵ Why, then, did China ratify UNCLOS in 1996? Raymond and Welch write: “When asked why China had embraced UNCLOS if it jeopardized its own position in the South China Sea, a senior Chinese official replied in a moment of unguarded candor: ‘Well, the Americans were against it, so we assumed it had to be good for us.’”⁷⁶

China's Post-Cold War Policies Towards the South China Sea

The general Western understanding of China's view on the collapse of the Soviet Union has been that Beijing sought to avoid Moscow's fate. Leaders in China diagnose the Soviet collapse as deriving from political reform – broadly, *perestroika*, or “reform,” and *glasnost*, or “openness” – which would not take place in Beijing.⁷⁷ That is true as a diagnosis of the present; Xi Jinping spoken to this effect, overlaid with a traditionalist concept of gender, in which he argued that the USSR collapsed because “no one had the balls to stand and fight for it [the Soviet Union] when it was being dissolved” and warned against the loss of an ideological monopoly, which the Communist Party of the Soviet Union previously possessed.⁷⁸

It is less true as a diagnosis of the past. China's initial policies after the disestablishment of the USSR and the massacre at Tiananmen were not, in the main, those of tightening. There were clearly political instincts in this direction; Deng Xiaoping's famous “Southern Tour,” which – while it is disputed exactly how causally responsible for China's policy of “reform and opening” it was – certainly created an international narrative that, and a national constituency for, China's commitment to that policy, is most sensible against the possibility of political and economic retrenchment.⁷⁹ But on the whole, domestically, China experimented with increased openness, politically, and additional market-based reform economically. Deng's last words to the Party

⁷³ Ibid., 126.

⁷⁴ Hayton, *South China Sea*, 245-6.

⁷⁵ People's Republic of China, “China Note Verbale No. CML/8/2011, 14 April 2011.”

⁷⁶ “What's Really Going On,” 232.

⁷⁷ See, for instance, Evan Osnos's discussion with Ezra Klein, “Coronavirus has pushed US-China relations to their worst point since Mao,” *The Ezra Klein Show*, Mar 31, 2020. <https://podcasts.apple.com/us/podcast/coronavirus-has-pushed-us-china-relations-to-their/id1081584611?i=1000469925976>

⁷⁸ <https://thediplomat.com/2022/10/the-ccps-changing-understanding-of-the-soviet-unions-collapse/> This thoughtful article demonstrates that this was not always the Chinese understanding: originally, systemic weaknesses within the Soviet Union, including a lack of markets and overcentralized power, were deemed major culprits. Such was the outcome of a major study group within the CCP from 1993 to 2004.

⁷⁹ See Jonathan Chatwin's *The Southern Tour: Deng Xiaoping and the Fight for China's Future*, (Bloomsbury: UK, 2024). Conversely, for a view that emphasizes the limits of reform, see Frank Dikötter's *China After Mao: The Rise of a Superpower*, (Bloomsbury: UK, 2022).

Secretary of Shenzhen, during his last trip to the city that epitomized and set the pace for economic reform in 1992, were: “You carry on your work faster!”⁸⁰

In foreign policy terms, China sought to resolve lingering territorial disputes. Taylor Fravel notes that China has offered concessions on 17 of its 23 territorial disputes from the founding of the PRC to 2008, though these applied more to land border disputes than island or maritime disputes.⁸¹ Beijing found itself with three new neighbors – Tajikistan, Kyrgyzstan, and Kazakhstan – and enduring border disputes, which in Central Asia were slowly settled in the 1990s.⁸² For its maritime disputes, including the Paracels, Spratlys, the Senkakus, Deng Xiaoping’s maxim was to “set aside conflict [and] pursue joint development.” While setting aside conflict, however, China never weakened its claims to any features in the South China Sea, which Fravel notes is in relatively sharp contrast to its approach with many land border disputes.⁸³ China’s claims since the reconceptualization of the 9-dashed line have been constant.

Continuity of claims notwithstanding, the 1990s did mark two major shifts in Chinese policy towards the South China Sea which affect the present. The first was in China’s military. It consisted especially in the prioritization – and, concomitantly, increase in funding, status, and power – of the People’s Liberation Army Navy, (PLAN), from appendage to major branch. By 1990, the PLAN accounted for almost a third of the PRC’s official defense budget. This shift began in the 1980s, epitomized by the success of the 1988 Spratlys operation, after which Vice Admiral Liu Huaqing, who oversaw the operation, was promoted to full Admiral. His plans for “offshore active defense,” which entailed control of the waters within the first island chain and the capacity to disrupt adversarial naval operations within the second island chain, were endorsed by the Central Military Commission as far back as 1985. And, over the course of the 1980s, the PLAN underwent a restructuring: 100,000 personnel were cut, even as the number of destroyers and frigates doubled. Liu Huaqing served as Vice Chairman of the Central Military Commission – second only to Jiang Zemin – from 1989 until 1997.⁸⁴

The 1990-91 Gulf War then served as a further accelerant to China’s military modernization. In the words of Phillip Saunders, the Gulf War “shocked PLA leaders.” It demonstrated “the critical role information plays in modern war, and that China’s military –much less well equipped than Iraq’s – was equally vulnerable.”⁸⁵ Another accelerant was the 1996 Taiwan Strait Crisis, of which Greg Poling writes: “One could draw a straight line from the PLAN’s humiliation in 1996 to its near-peer status with the U.S. Navy today.”⁸⁶ Saunders argues that the 1999 accidental U.S. bombing of China’s embassy in Belgrade served as a third accelerant, though perhaps one less related to China’s Navy.⁸⁷

The second change of the 1990s constituted a marked increase in China’s assertiveness in and towards the South China Sea. I follow Andrew Chubb’s paper “PRC Assertiveness in the South

⁸⁰ Jonathan Chatwin, “‘Do not turn back!’ Inside Chinese leader Deng Xiaoping’s history-making Shenzhen tour in 1992,” *South China Morning Post*, May 12, 2024. <https://www.scmp.com/magazines/post-magazine/long-reads/article/3262190/do-not-turn-back-inside-chinese-leader-deng-xiaopings-history-making-shenzhen-tour-1992>

⁸¹ Taylor Fravel, *Strong Borders, Secure Nation*, 1-2.

⁸² *Sinostan*, 36.

⁸³ Fravel, *Strong Borders, Secure Nation*, 268-70.

⁸⁴ Poling, *On Dangerous Ground*, 131-2.

⁸⁵ Phillip C. Saunders, “China’s Global Military-Security Interactions,” in *China and the World*, Edited by Shambaugh, David. (New York: Oxford University Press, 2020). 186.

⁸⁶ Poling, *On Dangerous Ground*, 166.

⁸⁷ Saunders, 186.

China Sea” to define assertions as acts that strengthen a state’s position in a territorial dispute.⁸⁸ Chubb creates a four-part categorization for different types of assertions: (1) Declarative (“verbal assertions via non-coercive statements”); (2) Demonstrative (“unilateral administration of disputed possession”); (3) Coercive (“threat or imposition of punishment”); and (4) Use of Force (“application of military force or direct seizure and occupation of disputed possession”).⁸⁹ To measure these assertions, Chubb created a database based on review of internal PRC reference materials about the South China Sea, such as chronologies, yearbooks, and advisory reports.⁹⁰ As acts of assertion tend to endure year-over-year – such as patrols of a given area, administrative measures over disputed territory, and infrastructure upgrades – the paper focuses on “intensifications” to assess changes in China’s policy over time.

On the basis of this data, Chubb finds that China’s acts of assertions underwent four major changes, against an overall backdrop of increasing assertiveness over time. Those four years were 1973, 1987, 1992, and 2007. The first three changes, including the one in 1992, he describes as “opportunistic responses to favorable geopolitical circumstances,” with 1992, in particular, resulting from the post-Cold War vacuum and the PRC’s recovery from Tiananmen.⁹¹ The increased assertiveness consisted of: a major inspection tour by PLA officials, who left behind sovereignty markers on seven Spratly islands; the passage of the 1992 Law on the Territorial Sea and the Contiguous Zone, “inscribing the claim to the disputed islands in domestic law for the first time and implicitly authorizing the use of force to evict intruders”; the awarding of 25,000 square kilometers of an oil concession to the U.S. energy firm Crestone, much of which was in Vietnam’s EEZ; the resuscitation of survey voyages in the Spratlys; Jiang Zemin’s visit to the Paracels in 1993; and, most acutely, the seizure and occupation of Mischief Reef in 1994.⁹²

Altogether, between 1992 and 1995 – during which Chubb holds that the growth of PRC assertiveness declined, likely in response to ASEAN and U.S. statements of concern precipitated by Mischief Reef – there were fourteen different intensifications or novel forms of assertion by the PRC in the South China Sea.⁹³ Following 1995, the PRC continued to increase its acts of assertion in the region, but at a slower pace.

Ketian Zhang offers partially accordant and partially discordant timelines in her award-winning paper, “Cautious Bully: Reputation, Resolve, and Beijing’s Use of Coercion in the South China Sea.” Zhang’s data also measures China’s acts of coercion, remaining silent on other form of assertion. The theory of this paper is that states will coerce others when the need to demonstrate resolve is higher than the economic costs that will be incurred by that act of coercion; further, they will coerce others *militarily* when the risk of geopolitical backlash (balancing) is low and *economically* when that risk is high.⁹⁴ Zhang shows that China’s acts of coercion in the 1990s were predominantly military, rather than economic. She also locates the increase in China’s coercion in the 1990s in 1994, rather than 1992, which is partially consistent

⁸⁸ Chubb, “PRC Assertiveness.” A state’s position in a territorial dispute is itself decomposed into: “(1) overall administrative presence in the disputed area; (2) ability to secure interests there using military force; and (3) ability to sustain the claim in international law, 85.

⁸⁹ Chubb, “PRC Assertiveness,” 88.

⁹⁰ *Ibid.*, 91.

⁹¹ *Ibid.*, 109-12

⁹² *Ibid.*, 109-10.

⁹³ *Ibid.*, 93; 110.

⁹⁴ Zhang, Ketian. “Cautious Bully: Reputation, Resolve, and Beijing’s Use of Coercion in the South China Sea.” *International Security* 44, no. 1 (July 1, 2019): 117–59. https://doi.org/10.1162/isec_a_00354.

with Chubb insofar as he identifies *military force* as only increasing in 1994, even as declarative, demonstrative, and coercive acts of assertion increase in 1992.⁹⁵

The occupation of Mischief Reef in 1994, which is located well-within the Philippines' Exclusive Economic Zone, serves as a useful point to compare causal explanations for China's acts of assertions. The initial explanation of the Chinese embassy in Manila was that the occupation of Mischief Reef was "ordered by low-level functionaries acting without the knowledge and consent of the Chinese government."⁹⁶ Fravel notes that it is difficult to argue with certainty about the causal explanation, given the dearth of Chinese sources, but that the occupation of Mischief Reef fits with his broader theory – that China adheres to a broad strategy of "delay" in maritime disputes, employing force when its bargaining power has weakened, which it arguably had in 1994 due to the Vietnamese acquisitions of seven additional Spratly islands between 1988 and 1991 and separate efforts by Vietnam, China, and the Philippines to survey oil in contested waters in 1994.⁹⁷ However, he also says bureaucratic politics – either a lack of coordination or genuine rivalry – is plausible, given the statement of PRC Embassy in Manila, China's immediate efforts to engage diplomatically with the Philippines, and "interviews" that suggested Politburo Standing Committee members were "surprised" by the occupation.⁹⁸ Chubb, however, reports that "firsthand PRC documentary sources now largely disconfirm this explanation." It was a complex, cross-departmental operation that some Chinese sources report was decided at the ministerial level or above.⁹⁹

A different explanation, which includes bureaucratic politics in the sense of different power bases wanting different things within China but not the Chinese government being surprised by "low-level functionaries," comes from Bill Hayton. He suggests that Admiral Liu Huaqing may have pushed for the operation, and Jiang Zemin – who was likely in the position of needing to win and reinforce allies as he took over from Deng Xiaoping in the early 90s – supported it for that reason.¹⁰⁰ And, as a final explanation, Ketian Zhang argues that China needed to demonstrate resolve – both to maintain its position in current disputes and to deter future challenges – in the 1990s, as other states made their own assertions in the South China Sea. Zhang further holds that China used military coercion rather than economic methods because the costs of geopolitical backlash, or balancing, were quite low in the 1990s.¹⁰¹

While Chubb generally affords more explanatory power to internal drivers within the Party-State than Zhang, who emphasizes the assertiveness of other claimants and China's need to signal resolve, they both observe a meaningful decline in PRC assertiveness after Mischief Reef. Chubb writes: "Jiang Zemin's most clear-cut period of political ascendancy, beginning in the mid-1990s, and particularly following Deng's death in 1997, did coincide with the period of moderation in the South China Sea, raising the possibility that Jiang personally may have favored a moderate approach there."¹⁰² Zhang observes that, from 2000 to 2006, "official and semi-official government threat assessments noted the reduced pressure on China to establish resolve." Not only was the need to establish resolve via coercion less in this period, but also the

⁹⁵ Zhang, "Cautious Bully," 133; Chubb, "Measuring," 93.

⁹⁶ Ramos Orders Philippine Defenses Beefed Up in Spratlys," Japan Economic Newswire, 15 February 1995 (Lexis-Nexis).

⁹⁷ Fravel, *Strong Borders, Secure Nation*, 296-7.

⁹⁸ Fravel, *Strong Borders*, 297.

⁹⁹ Chubb, "PRC Assertiveness," 111.

¹⁰⁰ Hayton, *South China Sea*, 88.

¹⁰¹ "Cautious Bully," 135-6, 142.

¹⁰² Chubb, "PRC Assertiveness," 111.

cost to do so was higher: it was then engaged in negotiations with ASEAN for a Free Trade Zone, and, after the 2008 Financial Crisis, Beijing believed that ASEAN needed China's market more than China needed ASEAN.¹⁰³

There is arguably also a geopolitical and diplomatic component to China's lessened assertion. Hayton observes of the Mischief Reef incident: "It was a turning point. Up until January 1995, Chinese expansion in the South China Sea had only really affected Vietnam – and at times when Hanoi was internationally isolated." ASEAN declared its concern and called for an "early resolution of the problems caused by the recent developments in Mischief Reef," which was unusually strong language for the consensus-based organization.¹⁰⁴ In a State Department briefing following the incident, the U.S. affirmed again its neutrality vis-a-vis territorial claims, but added, "The United States would, however, view with serious concern any maritime claim or restriction on maritime activity in the South China Sea that was not consistent with international law, including the 1982 United Nations Convention on the Law of the Sea."¹⁰⁵

After Mischief Reef, China pursued effectively a policy of "delay." Beijing continued to strengthen its position significantly more so than did its rivals – through new maritime surveys, patrols, fishing excursions, administrative changes – even as it maintained dialogue with other ASEAN claimants and with ASEAN as a whole. For instance, China participated in the Indonesia-sponsored "Workshop Series on Managing Potential Conflicts in the South China Sea." Begun in 1990 but with a new urgency after 1995, the series brought together the then-six ASEAN members – Indonesia, Singapore, Thailand, the Philippines, Malaysia, and Brunei – along with China, Taiwan, Vietnam, and Laos. It sought not to resolve fundamental disputes on sovereignty, but rather to develop confidence-building measures and tension-management.¹⁰⁶ That may have been beyond reach, however. Ralph Cossa, Brad Glosserman, and Scott Snyder, all participants in the conference, wrote the following in 2001:

A pattern seems to have emerged. Dialogue is acceptable and discussions about technical cooperation have gained consensus, but when it appears that a project might actually go forward, consensus breaks down—apparently as a result of concerns that actual cooperation efforts might internationalize the issue, or perhaps as part of a deliberate effort to stall any practical cooperation effort in the South China Sea.¹⁰⁷

The same pattern largely repeated itself for the chimera of conflict resolution in the South China Sea: the Code of Conduct. ASEAN set its sights on a legally binding Code of Conduct for interested parties in the South China Sea – in particular, ASEAN claimants plus China and Taiwan – in 1996. Three years later, ASEAN tasked the Philippines with authoring a draft. Foreign Secretary Siazon did so, and it received general support from the other ASEAN states.

¹⁰³ Ketian Zhang, "Cautious Bully," 137, 139-42.

¹⁰⁴ Hayton, *South China Sea*, 87.

¹⁰⁵ U.S. Department of State, Daily Press Briefing, May 10, 1995.

¹⁰⁶ Poling, *On Dangerous Ground*, 157-9.

¹⁰⁷ "Confidence Building Measures in the South China Sea," Scott Snyder, Brad Glosserman, and Ralph Cossa, *Issues and Insights*, 2-01, Pacific Forum, 2001, F-1, 12-3. https://csis-website-prod.s3.amazonaws.com/s3fs-public/legacy_files/files/publication/issuesinsightsv01n02.pdf

ASEAN then began negotiating with China to achieve a binding code of conduct. To this day, they continue, with the latest hopeful projection that of an agreement in 2026.¹⁰⁸

Obstructive Engagement and Sea Changes

Mark Raymond and David Welch characterize Chinese policy towards the South China Sea, pre-2010/2, as “obstructive engagement.”¹⁰⁹ This approach – favored by the Foreign Ministry – harmonizes with “take and talk,” or “occupy and negotiate,” as described by Hayton.¹¹⁰

First, the level of Chinese assertion in the South China Sea rose, markedly, between 2007 and 2011. There is meaningful disagreement within the scholarship about when precisely this change occurred. Chubb argues that 2007 marks the period of a sharp increase in Chinese acts of assertion, most notably “(1) a rapid buildup of state presence, and (2) the introduction of regular coercive actions across the nine-dash line area.”¹¹¹ Conversely, Feng Zhang points to bureaucratic politics as an explanation of increased coercion and a later period for its operationalization. After the 18th Party Congress in 2012, China’s various maritime organizations – such as the Fishing Law Enforcement Command, the China Maritime Surveillance agency, the China Maritime Police (subset of the Ministry of Public Security), the Maritime Anti-Smuggling Bureau of the General Administration of Customs, and the Maritime Safety Administration of the Ministry of Transport – rightly anticipated a forthcoming centralization of maritime control, and sought to demonstrate their value by taking lots of coercive actions. All but the Maritime Safety Administration were consolidated into the China Coast Guard in 2013. Thus, says Feng Zhang, “the extent of bureaucratic struggle helps to explain maritime actors’ assertiveness before 2013 and their relative quiescence post-2013.”¹¹² Nevertheless, Feng Zhang writes that “in 2007, a milestone year, CMS regularized patrols in all three of the ‘near seas’: the Yellow Sea, the East China Sea, and the South China Sea.”¹¹³

Ketian Zhang locates 2007 as the point at which Chinese coercion again rose in the South China Sea, and she – along with Chubb – disputes Feng Zhang’s explanation of bureaucratic politics.¹¹⁴ Instead, the need to signal resolve features in her analysis. That mirrored the 1990s, when China employed coercion more than in the 2000-2006 period, in her analysis. Dissimilarly, however, the “Geopolitical Backlash Cost” in after 2001 became high. This related to the U.S. shift towards counterterrorism after 2001, which involved not just the Middle East but also Southeast Asia, and which Chinese officials took notice of and had concerns about, epitomized by renewed military exercises with the Philippines, but also encompassing a greater focus on ASEAN states more broadly. As a result, per her theory, China opted for economic coercion rather than militaristic coercion.¹¹⁵ In my view, this derives mainly from China becoming a much

¹⁰⁸ Poling, *On Dangerous Ground*, 169-71. Nike Ching, “ASEAN aims to conclude South China Sea code of conduct by 2026,” *Voice of America*, June 12, 2024. <https://www.voanews.com/a/asean-aims-to-conclude-south-china-sea-code-of-conduct-by-2026/7653984.html>

¹⁰⁹ Raymond and Welch, “What’s Really Going On,” 215.

¹¹⁰ Hayton, *South China Sea*, 88.

¹¹¹ Chubb, “PRC Assertiveness,” 113.

¹¹² Zhang, Feng. “China’s Long March at Sea: Explaining Beijing’s South China Sea Strategy, 2009–2016.” *The Pacific Review* 33, no. 5 (September 2, 2020): 757–87. <https://doi.org/10.1080/09512748.2019.1587497>, 9.

¹¹³ Feng Zhang, “China’s Long March,” 8.

¹¹⁴ Ketian Zhang, “Cautious Bully,” 153. Zhang writes: “Official documents suggest, however, that Chinese coercion in the South China Sea is both regularized and centralized. Detailed and modularized plans describe how crews on maritime surveillance and fishery administration ships should behave when dealing with foreign counterparts.”

¹¹⁵ Ketian Zhang, “Cautious Bully,” 143-5.

more significant geopolitical actor than it had been before, animated in turn by its stupendous growth and accompanying military modernization. Thoroughly committed realists such as John Mearsheimer may argue it is fundamentally irrelevant what the nature of a country's regime is, or what its intentions – expressed or implicit – are. Balance of power is enough to trigger balancing. That is not a position I hold. Nevertheless, realist insights that capacity enables a threat may factor into balancing behavior.

Greg Poling argues that 2008-9 is the period with a shift in tactics, which he believes derives from China's "increasing risk tolerance." That in turn he sees as based on the 2008 financial crisis, which led to "China's leadership's belief that the U.S. had entered terminal decline."¹¹⁶ Fareed Zakaria makes an analogous point in the second edition of *The Post-American World*.¹¹⁷

While dispute about when China increased its assertiveness in the South China Sea between 2005 and 2012 – with Raymond and Welch tagging it to 2010-2, Poling to 2009, Ketian Zhang and Andrew Chubb to 2007 – there is no real dispute that there was a meaningful change in tactics. Several incidents epitomized this shift: the March 2009 harassment of the USNS *Impeccable*; the July 2010 ASEAN summit, when every country expressed concern about Chinese behavior and the normally calm Yang Jiechi harangued ASEAN foreign ministers; and then, most famously, the April-May 2012 Scarborough Shoal incident.¹¹⁸ That last incident is worth spending a minute on. Feng Zhang argues that:

Manila's refusal to withdraw its vessels that threatened the safety of Chinese fishermen, its confrontational rhetoric that did not allow China 'face', its presentation of new evidence on April 18 of the Philippines' sovereignty over Scarborough Shoal since its independence, and its renaming of the shoal as 'Panatag Shoal' on May 4, raised Chinese fears that they may 'lose' the shoal should the status quo persist. This fear led to the pivotal decision, made in early May, that rather than allowing the Philippines to take over the shoal through 'actual control,' China should do it itself.¹¹⁹

Greg Poling paints a more complicated picture. Then-Philippines Foreign Minister Albert del Rosario had talks with China's Ambassador to the Philippines, in the days following the arrest, after which he commented, "We both want to have this resolved ASAP and we have agreed that both sides will not do anything to escalate the situation there any further."¹²⁰ Several Chinese vessels left, prior to one returning; it was only when talks were unsuccessful that the Philippines explicitly sought to enlist American support and cease to rely entirely on a bilateral diplomatic solution.¹²¹

Taylor Fravel and Ed Glaser address a related question in their 2022 article titled "How Much Risk Should the United States Run in the South China Sea?" Theirs is something of a

¹¹⁶ Author interview with Greg Poling, July 24, 2024.

¹¹⁷ Fareed Zakaria, *The Post-American World*, (W.W. Norton: New York, 2008, 2011), 49. The relevant line: "'The U.S. financial system was regarded as a model, and we tried our best to copy whatever we could,' said Yu Yongding, a former adviser to China's central bank, in late September 2008. 'Suddenly we find our teacher is not that excellent, so the next time when we're designing our financial system we will use our own mind more.'"

¹¹⁸ Greg Poling, *On Dangerous Ground*, 182-9.

¹¹⁹ Feng Zhang, "China's Long March," 15.

¹²⁰ Kimberly Jane Tan, "DFA: 1 of 3 Chinese Vessels in Panatag Shoal Standoff Leaves; Diplomatic Talks Resume," *GMA News*, April 13, 2012, <https://www.gmanetwork.com/news/news/nation/254783/dfa-1-of-3-chinese-vessels-in-panatag-shoal-standoff-leaves-diplomatic-talks-resume/story/>

¹²¹ Poling, *On Dangerous Ground*, 189.

middle position between Chubb's and Raymond & Welch's. Fravel and Glaser argue that China's policy – while containing meaningful acts of assertion intended to alter the status quo of the region, such as the construction of artificial islands and coercion against Vietnamese, Philippine, and Malaysian vessels in their EEZs – has nevertheless “been calibrated to avoid major escalation or severe blowback.” The actions that China has *not* taken, such as its unwillingness to use force since 1988 to obtain other Spratly features, its general operational acceptance of U.S. military reconnaissance and operations within the South China Sea, especially beyond 12 nautical mile territorial seas, its refrain from declaring an ADIZ in the South China Sea, lead Fravel and Glaser to assess that “China has been unwilling to generate a large risk of conflict while it asserts its claims and pursues increased control.”¹²²

¹²² Fravel, M. Taylor, and Charles L. Glaser. “How Much Risk Should the United States Run in the South China Sea?” *International Security* 47, no. 2 (October 1, 2022): 88–134. https://doi.org/10.1162/isec_a_00443. 100-101.

III. The United States of America

US Strategy and Interests

The United States is generally understood to have two core interests in the South China Sea. The first is maintaining its alliance commitments: to the Philippines, most directly, but also to Taiwan – which, though not a formal ally, the United States has long considered itself partially responsible for protecting. The second core interest is the freedom of the seas, including the free and open exchange of commerce, investment, and traffic, which underpins and conditions the region's considerable prosperity. UNCLOS is the fullest, most institutionalized, and most reliable method of protecting that openness, and the U.S. supports UNCLOS in no small part for that reason. Still, U.S. interests and involvement in the region's openness preceded UNCLOS.¹²³ Fravel and Glaser describe the derivative interests of U.S. grand strategy towards the South China Sea cogently: “U.S. security via the security of its allies in the region; and U.S. prosperity via the region's open trade, investment, and prosperity.”¹²⁴ This is also Greg Poling's view.

It also accords with American history; these interests have deep roots. As John Pomfret overviews in his history of the United States and China, “the two sides have been interacting with and influencing each other since the founding of the United States. It wasn't just free land that lured American settlers westward. It was also the dream of selling to China. The idea of America also inspired the Chinese, pulling them toward modernity and the outside world. American science, educational theory, and technology flowed into China; Chinese art, food, and philosophy flowed out.”¹²⁵ George Washington's dining hall boasted “boasted a 302-piece dinner and tea set brought to America by the Empress of China.” The tea tossed into Boston harbor by costumed colonists had been shipped out of Xiamen, China.¹²⁶

Involvement in China instilled an American interest in access to China. The “Open Door” policy and the “territorial and administrative integrity” of China – which George Kennan critiques for their ambiguity – were nevertheless lodestars for American foreign policy in Asia in the 19th century.¹²⁷

It is also a mistake to believe that U.S. interest in the world derived, exclusively – or even principally – from the experience of fighting two World Wars and determining, in their aftermath, to prevent their recurrence. Walter Russell Mead's intellectual history of American foreign policy, *Special Providence*, “Not only has American foreign policy been more successful than the conventional wisdom acknowledges, it has played a much more central role throughout American history than many Americans believe. The leading statesmen of the United States often devoted more of their attention to foreign policy questions before and during the Civil War than they did during the twentieth-century Cold War.”¹²⁸ America has been a global power, in the sense of a country with deep interests in the happenings of affairs elsewhere, for its entire history. It has been a global power, in the sense of a country of the first tier with wide-ranging influence and power since, at least, the Civil War. And, throughout, it has been a maritime power.

¹²³ Poling, *On Dangerous Ground*, 2-9.

¹²⁴ Fravel and Glaser, “How Much Risk,” 108.

¹²⁵ John Pomfret, *The Beautiful Country and the Middle Kingdom*, 10.

¹²⁶ Pomfret, *Beautiful Country*, 20.

¹²⁷ Kennan, George F., *American Diplomacy*. 60th-anniversary expanded edition ed. Chicago ; London: The University of Chicago Press, 2012. 48.

¹²⁸ Mead, Walter Russell. *Special Providence: American Foreign Policy and How It Changed the World* (p. 10). Knopf Doubleday Publishing Group. Kindle Edition.

Greg Poling writes:

U.S. leaders have seen maintenance of the free seas as vital to national prosperity and security for more than two centuries. Few interests have been as abiding over the course of American history. This commitment drove the young United States to launch its first military forays abroad. And by the middle of the nineteenth century, it carried the U.S. Navy across the Pacific for the first time to defend the perceived rights of American merchants and missionaries. It is impossible to understand U.S. interests in the South China Sea absent its historical relationship with the freedom of the seas and the international law defining it.¹²⁹

It is more correct to date the other major U.S. interest – its alliances – to the postwar era. While the American occupation of the Philippines of course began in 1898 with the Treaty of Paris that ended the U.S.-Spain War, the Philippines got their independence on July 4, 1946, and the two countries signed a Mutual Defense Treaty five years later – America’s first in the Pacific.¹³⁰ Four years later, the United States had inked a similar treaty with the Republic of China (Taiwan), and it supported the Republic of Vietnam (South Vietnam) less officially but very materially from the 50s on.¹³¹

For the subsequent decades, the United States sought to avoid taking part in conflicts between its allies – not unwisely – and it was largely successful. Claims to territorial features in the South China Sea were, of course, one major source of potential disputes; Taiwan claimed every feature within the South China Sea, the Republic of Vietnam claimed the Paracels and some, later all, of the Spratlys; the Philippines claimed Scarborough Shoal and a group of the Spratlys. Pragmatically, the United States had little to gain – and potentially much to lose – by alienating two allies in service of one’s territorial claims in the South China Sea. From a more principled position, there also were very few airtight claims by America’s allies to these islands.¹³² One of the few notable exceptions that proves the pattern is Scarborough Shoal, the Philippines claim to which – as distinct from the Philippines request for recognition of sovereignty over islands in the Spratlys – the United States affirmed. This derived in significant part from the treaties that ended the U.S.-Spain War, both the 1898 Treaty of Paris and the addendum two years later Treaty of Washington, which clarified that any territories that Spain had administered as part of the Philippines were also transferred to the United States as part of the war’s resolution. As there was evidence that Spain had surveyed and included Scarborough Shoal on maps of the Philippines, the U.S. accepted the request of the domestically independent Commonwealth of the Philippines to consider the Shoal part of U.S. sovereign territory.¹³³

Over the course of the 1970s, as Saigon fell to Hanoi in 1975 and the United States shifted its diplomatic recognition from the Republic of China to the People’s Republic of China – beginning early in the decade and officially enacted in 1979 – the United States’s alliance posture, interests, and obligations shifted dramatically. Though it maintained an informal alliance with Taiwan, Taipei’s interests carried less relative weight in U.S. decision-making, as the U.S. took Beijing’s interests into account as well. Manila was the only U.S. ally left. This, on the one

¹²⁹ Poling, Gregory B.. *On Dangerous Ground: America's Century in the South China Sea* (pp. 2-3). Oxford University Press. Kindle Edition.

¹³⁰ Poling, 8.

¹³¹ Ibid.

¹³² Poling, *On Dangerous Ground*, 8, 11.

¹³³ Poling, *On Dangerous Ground*, 18-9.

hand, meant that U.S. positions on sovereignty claims ran less risk of alienating allies – but alienating Taiwan, or weakening the nascent open relationship with the PRC, over the islands that no one had an airtight claim to was still unappealing as a policy option. What the State Department observed in a classified intelligence paper in 1954 – “The international status of these islands has never been settled. The United States has neither advanced claims of its own in the area nor made any official determination of the merits of the respective claims of others” – remained true.¹³⁴

What emerged instead was concern, on the Philippine side, of abandonment and, on the American side, of entrapment. Even before Congress passed the War Powers Act to limit the President’s ability to wage war without explicit Congressional permission in 1973 and Saigon fell in 1975, concern in the Philippines about the extent of U.S. commitment under the Mutual Defense Treaty was rife. Arguably, this began with the testimony of deputy chief of mission for the U.S. Embassy in Manila, James Wilson, before Congress in 1969, when he remarked that the MDT did not exist “for the defense of the Philippines as such.” Greg Poling comments that “the remark was little noted in Washington but became a fixation for years in Manila, where it was seen as hinting that the United States would act only if its own bases were attacked.”¹³⁵ From 1975 on, when negotiations for the Military Bases Agreement recommenced – the Agreement, which permitted the permanent stationing of U.S. troops on bases in the Philippines, and which was extended for several years at a time and often renegotiated – Philippine leaders sought clarification on the extent of U.S. commitments under the MDT. In particular, President Ferdinand Marcos linked progress on renewing the Military Bases Agreement with an explicit commitment that the MDT applied to Reed Bank and the Spratlys, both of which were contested territories.¹³⁶ Secretary Henry Kissinger saw the rationale for the demand: “The guy is sitting out there, with Viet-Nam having gone down the drain, having the only U.S. bases there. He needs something to justify our being there.”¹³⁷

The precise extent of the Mutual Defense Treaty – whether it applied to contested territories in the South China Sea, especially those that the Philippines administered – became a focal point and frustration of the American-Philippine alliance over the subsequent decades. Although this precise dispute with President Marcos over the Military Bases Agreement was eventually resolved, with an extension signed on January 7, 1979, in the Carter administration, the core issue would endure.

¹³⁴ U.S. Department of State, “Islands of the South China Sea,” iii.

¹³⁵ Poling, Gregory B.. *On Dangerous Ground: America's Century in the South China Sea* (p. 84). Oxford University Press. Kindle Edition.

¹³⁶ Poling, *On Dangerous Ground*, 85-8.

¹³⁷ Minutes of the Secretary of State’s Staff Meeting [Washington, October 16, 1976] in *Foreign Relations of the United States, 1969-1976*, vol. E-12, *Documents on East and Southeast Asia, 1973-1976*, edited by Bradley Lynn Coleman, David Goldman, and David Nickles (Washington, DC: United States Government Printing Office, 2010), Document 350, <https://history.state.gov/historicaldocuments/frus1969-76ve12/d350>

IV. The Republic of the Philippines

Philippine Strategy and Interests

“For the first time in history, foreign-policy issues, namely the festering conflict in the South China Sea, may become central to the [Philippine 2025 midterm] elections. The Philippines is in the midst of a Cold War at once between two powerful political dynasties as well as two international superpowers.” – Richard Javad Heydarian

In the modern era of Philippine politics – that is, after the EDSA or “People Power” revolution that removed President Ferdinand Marcos from power in 1986 and the new constitution enacted in 1987 – Manila has three overarching foreign policy goals. President Fidel Ramos first articulated them in the mid-1990s, and they have been affirmed by subsequent administrations.¹³⁸ They stem from the Philippines’ constitution’s explicit mandate for an “independent foreign policy,” which may be understood as a reaction to overt dependence upon, or assertions by, the United States for much of the post-colonial era.¹³⁹ These three goals are: Protecting Philippine sovereignty and territorial integrity; Advancing economic development; and Securing the safety and well-being of Filipino workers abroad.¹⁴⁰

The first goal, which bears most on this essay, in fact applies to concerns both domestic and foreign. Domestically, the Philippines have been the sources of two decades-long insurgencies, the Communist National People’s Front (ongoing since 1969) and the Muslim separatist Moro conflict (1968-2019). It is for this reason that the Philippines historically, despite being an archipelago, have spent vastly more on their army than their navy or air force, to the tune of historically enlisting thrice as many soldiers as sailors.¹⁴¹ Externally, the United States was understood to be the security provider of the Philippines in Asia, and, for the majority of the past century, that was an unproblematic assumption, given the plausible threats to the Philippines and the extent of the United States’ power in the region. It is only with the development of China and its accordant military capacities that such an assumption weakened. This dynamic is in principle neutral with regard to Beijing’s intentions or behavior. It is instead a product of broader changes in the Indo-Pacific security landscape.

There are nearly two million overseas Filipinos workers (OFW). Unusually for a country of the Philippines’ size, their remittances constitute nearly a tenth of the country’s GDP, and their well-being has been a frequent source of concern and effort on the part of Manila.¹⁴² For instance, and famously, the Philippines pulled their forces out of Iraq in 2004, after their initial participation in the United States-led coalition after Angelo dela Cruz was captured by Iraqi militants and threatened with execution if the Philippines did not withdraw.¹⁴³ Notably, over 150,000 Filipinos live and work in Taiwan. That is one reason why, even if Manila could

¹³⁸ Quilop, Raymund Jose. “Consistency amid Seeming Shifts: Philippine Foreign Policy between the United States and China.” *Contemporary Southeast Asia* 46, no. 1 (2024): 147–69. <https://doi.org/10.1355/CS46-1g>.

¹³⁹ 1987 Constitution of the Republic of the Philippines, <https://www.officialgazette.gov.ph/constitutions/1987-constitution/>.

¹⁴⁰ Quilop, “Consistency,” 147.

¹⁴¹ Kaplan, Robert. *Asia’s Cauldron: The South China Sea and the End of a Stable Pacific*, (New York: Random House), 2014, 126.

¹⁴² <https://data.worldbank.org/indicator/BX.TRF.PWKR.DT.GD.ZS?locations=PH>; Quilop, “Consistency amid Seeming Shifts,” 160.

¹⁴³ Quilop, “Consistency,” 161.

maintain neutrality in the event of a U.S.-China war over the island – a dubious proposition – it would still have deep interests in the course and conclusion of the conflict.¹⁴⁴ That plan may include repatriation, but such an effort in the midst of combat would be beyond daunting.¹⁴⁵

The Philippines concern about sovereignty and territorial integrity, at this point, principally regard China.¹⁴⁶ There is still meaningful concern about overt U.S. influence; former Foreign Affairs Secretary Albert Del Rosario put it pithily: “We refuse to be bullied by China, and we refuse to be subservient to the Americans.”¹⁴⁷ Regardless, the overwhelming majority of both the Filipino public and the Philippines’ strategic class look more favorably on the United States than on China.

There are two major historical origins for the Philippine claims in the South China Sea. The first, to Scarborough Shoal, is based in the Spanish-American War. As Spain ceded all of the territories it had administered as part of the Philippines to the United States, regardless of location, in the 1900 Treaty of Washington, and Madrid had undertaken surveys of the Shoal and located it within Philippine territory on several maps it made during its reign, the United States included the Shoal as part of Philippine territory dating back to 1918.¹⁴⁸

Conversely, the United States maintained neutrality on another set of Philippine historical claims: those of “Freedomland.” In a story almost too entertaining to be true, an American huckster named Morton Meads claimed, in the mid-20th century, to be the inheritor of a kingdom called “Freedomland” composed of many islands in the Spratlys. This claim had absolutely no basis to it. He sought but received no recognition from the U.S. State Department before dying in a shipwreck. Nevertheless, it led a Filipino businessman, Tomás Cloma, to tour some of the islands of the alleged kingdom in 1956. He purported to find no evidence of other claims (despite evidence that the Republic of China claimed them) and shortly declared himself the president of the newly established state of Freedomland, covering much of the eastern Spratlys. A generation of Philippine Presidents disregarded this claim – what Magsaysay called a “comic opera” – until the 1970s, when a rush to occupy islands began. Then, in 1974, President Marcos – at first with carrots, subsequently with a jail cell – persuaded Cloma to transfer the title of Freedomland to the Philippines for one peso.¹⁴⁹ The province is named “Kalayaan,” Tagalog for “Freedomland.”¹⁵⁰

Of course, the far stronger basis of Philippine claims to the South China Sea – the one Manila advances in international fora, to the United States, and to China – is UNCLOS. UNCLOS does not adjudicate questions of sovereignty, but it does answer questions of maritime jurisdiction as well as definition: i.e., is a given feature in the South China Sea an island, possibly entitled to a 200-nautical mile Exclusive Economic Zone, or merely a rock, incapable of supporting human life, and therefore only possessed of a 12-mile territorial sea, or a “low-tide elevation,” which is

¹⁴⁴ <https://taiwannews.com.tw/news/4931722>;

¹⁴⁵ <https://www.gmanetwork.com/news/pinoyabroad/dispatch/907943/ph-ready-to-repatriate-ofws-should-taiwan-china-tensions-escalate-cacdac-says/story/>

¹⁴⁶ This was not always the case; the Philippines and Vietnamese, for instance, clashed over (WOODY????) Island, and they still have overlapping claims. However, the actual changes to the status quo that materially disadvantage the Philippines come from Beijing, which is the main reason why Manila and Hanoi have come to work fairly closely together on this issue.

¹⁴⁷ Quilop, “Consistency,” 149.

¹⁴⁸ Poling, *On Dangerous Ground*, 19.

¹⁴⁹ Poling, *On Dangerous Ground*, 56-60, 64-5.

¹⁵⁰ Kaplan, *Asia’s Cauldron*, 135.

not entitled to anything alone, though it may extend the territorial sea of another island or rock if it is within 12 nautical miles of it.

The Philippines experienced a post-Cold War moment of optimism, like much of the West. It was all the stronger in Manila in the aftermath of the 1986 People Power, or “EDSA,” revolution. Though the United States had – eventually, over President Reagan’s initial hesitations – helped remove Marcos peacefully from power, the next Philippine President, Corazon Aquino, saw the United States with some degree of skepticism.¹⁵¹ Furthermore, the new constitution required that all foreign troops and bases leave the Philippines when the then-current U.S.-Philippines agreement on U.S. troops ended in 1991, unless a new treaty was “duly concurred in by the Senate.”¹⁵²

The United States, too, anticipated fewer needs for troops stationed in the Philippines with the end of the Cold War. Further, budgetary pressures for a peace dividend facing President Bush and his administration complicated the negotiations for a new, smaller-scale basing agreement that would have preserved Subic Bay Naval Base.¹⁵³ In the end, the Philippines wanted more military and economic assistance for the use of the Subic Bay than the U.S. was willing to pay – plus the enduring dispute about jurisdiction over American servicemembers – and Manila ordered the departure of American forces by the end of 1992. Though the negotiating breakdown had proximal causes of the level of rent, the bigger issue, of course, was the end of the Cold War; neither side thought it would be as crucial for the United States to project power into the South China Sea. Many in the Philippines thought they would not face external threats for the foreseeable future.¹⁵⁴

Like Hemingway describing bankruptcy, this changed gradually, then suddenly. The precipitating factor was China’s occupation of Mischief Reef in 1994. A low-tide elevation (meaning, sensibly, it is only above the water line at low-tide), Mischief Reef – which lies well within the Philippines 200-nautical mile Exclusive Economic Zone – is, according to the 2016 Permanent Court of Arbitration Ruling, entirely under the jurisdiction of the Philippines. In 1994, however, China began building wooden fishermen’s structures on the Reef; in January 1995, a group of Filipino fishermen found these structures and were taken captive for a week before being released. The Philippines subsequently took pictures of the structures and released them to the international press.¹⁵⁵

A few weeks later, during the ASEAN regional summit, the group released a joint statement that called for all sides to “refrain from taking actions that destabilize the region and further threaten peace and security of the South China Sea.” It further stated: “We specifically call for the early resolution of the problems caused by recent developments in Mischief Reef.”¹⁵⁶ Such an “early resolution” was not to be.

Philippine Policy Towards the South China Sea

The three goals of Philippine foreign policy – national sovereignty and territorial integrity, economic development, and the protection of overseas Filipinos – need not, but certainly can,

¹⁵¹ Poling, *On Dangerous Ground*, 136-7.

¹⁵² *Ibid.*, 137.

¹⁵³ *Ibid.*, 152-3.

¹⁵⁴ Poling, *On Dangerous Ground*, 153.

¹⁵⁵ *Ibid.*, 157.

¹⁵⁶ *Ibid.*, 158.

conflict. When that happens, who decides, and on what basis, which to prioritize and how? Put more broadly, how is Philippine foreign policy made?

The Philippines have a political system that endows the President with enormous influence over foreign policy. The academic Remigio E. Agpalo dubs it the “Pangulo Regime” in a famous 1999 article, with “Pangulo” meaning “President” in Tagalog. Its essential feature: “[it] operates on the principles of the supremacy of the executive.”¹⁵⁷ Nor is this a political norm alone; it is also enshrined in law. The Philippine Supreme Court ruled, in 2005, that:

...the President, being the head of state, is regarded as the sole organ and authority in external relations and is the country’s sole representative with foreign nations. As the chief architect of foreign policy, the President acts as the country’s mouthpiece with respect to international affairs. Hence, the President is vested with the authority to deal with foreign states and governments, extend or withhold recognition, maintain diplomatic relations, enter into treaties, and otherwise transact the business of foreign relations. In the realm of treaty-making, the President has the sole authority to negotiate with other states.¹⁵⁸

Not only law but also norms enforce the dominance of the executive. In contrast to the United States’s political system, whereby parties advance agendas through political leaders, the Philippines’ major unit of political power is individual politicians, who advance their agendas through political parties.¹⁵⁹ The Philippine Senate does play an important role in constraining the executive – notably, in 1991, it refused to ratify the treaty President Corazon Aquino sought to preserve U.S. forces access to bases in the Philippines.¹⁶⁰ However, that treaty specifically required approval by the Senate in the new Philippine constitution; in general, the President has exclusive authority to make treaties with other countries. For this reason, it is particularly worth studying the transitions across different Philippine Presidents.

The political scientist Alvin Camba argues that Philippine Presidents optimize for “political survival” – which is not clearly defined, but may be understood to mean something like the intersection of regime stability, broad popularity, and popularity among elite political actors – in their foreign policy. He offers a three-part model of influences upon the President, comprising geopolitics, domestic politics, and economics.¹⁶¹

In case studies, he discusses President Gloria Arroyo’s loss of popularity by the end of her term, in the late 2000s, due in significant part to perceptions of corruption – including corruption

¹⁵⁷ Remigio E. Agpalo, “The Philippine Pangulo Regime”, *Philippine Political Science Journal* 20, no. 43 (1999): 45–60.

¹⁵⁸ Senator Aquilino Pimental Jr. v. Office of the Executive Secretary, G.R. No. 158088 (2005), https://lawphil.net/judjuris/juri2005/jul2005/gr_158088_2005.html.

¹⁵⁹ Carl H. Lande, “Leaders, Factions and Parties: The Structure of Philippine Politics”, Yale Southeast Asia Studies Monograph Series, no. 6 (New Haven, CT: Southeast Asia Studies, Yale University, 1965). This can, of course, be overstated, and recent scholarship has suggested that American political parties have severely weakened in their ability to constrain and guide political leaders. See Daniel Schlozman and Sam Rosenfeld’s *The Hollow Parties: The Many Pasts and Disordered Present of American Party Politics*, or Ezra Klein’s popular expression of the same in “This Isn’t All Joe Biden’s Fault,” *New York Times*, June 30, 2024.

<https://www.nytimes.com/2024/06/30/opinion/biden-debate-convention.html>

¹⁶⁰ Quilop, “Consistency,” 150.

¹⁶¹ Camba, Alvin. “From Aquino to Marcos: Political Survival and Philippine Foreign Policy towards China.” *Journal of Contemporary East Asia Studies* 12, no. 1 (January 2, 2023): 9–31. <https://doi.org/10.1080/24761028.2023.2281165>.

linked to China.¹⁶² President Aquino III therefore came into office with the domestic political requirement to demonstrate (a) reform and (b) independence from China. Aquino III prosecuted a series of officials involved in this corruption, many of whom were friendly to China – perhaps both to genuinely excise corruption and to strengthen his own position – which, per Camba, “created an unintended effect of rupturing Philippine-China relations.”¹⁶³ Of course, China’s 2009 *note verbale* asserting the nine-dashed line factored adversely affected the relationship as well. And, naturally, the 2012 Scarborough Shoal incident also weakened those within the Philippines who were more sympathetic to China, though Greg Poling points out, rightly, that some also held America at fault – particularly in light of an incident the year before, when the U.S. reacted with far more resolve against a Chinese threat to the Japanese-administered Senkaku Islands.¹⁶⁴ Finally, the decision to sue China under the Permanent Court of Arbitration for UNCLOS in 2013 epitomizes the Aquino III Administration’s willingness to assert itself against China.

It also represents an important Presidential transition. With the Duterte Administration taking office just weeks after the Permanent Court of Arbitration ruling overwhelmingly for the Philippines, Duterte had great latitude to determine Manila’s approach. Duterte had accused Aquino III’s allies as complicit or indeed actively benefitting from illegal drug trading in the Philippines – run by a Mexican cartel – and, after coming to power, began his signature “drug war” policy. As most of the Aquino III-aligned elites were party to his reformist politics and thus, broadly understood, more resistant to China, their reduction in influence and power domestically could have, all else being equal, led to a more conciliatory policy from Manila towards Beijing.¹⁶⁵

Of course, all else is not equal, and there were several other reasons Duterte sought a closer relationship with Beijing. Biographically, Quilop describes Duterte’s deep-rooted distaste for the United States, based in part in what he describes as the “rough activities of American military forces” in the anti-guerilla campaign on Duterte’s home island of Mindanao.¹⁶⁶ Personally, Duterte seems to have benefited from up to 500,000 Chinese nationals immigrating to metro Manila and running online gambling firms – illegal by PRC laws – which enriched him and his family considerably.¹⁶⁷ Internationally, the Tribunal case against China attracted less international support than might have been desired – though of course an important reason for this was Manila’s own decision to “study” the issue upon the Tribunal ruling, followed by Duterte’s eventual December announcement to “set aside” the matter.¹⁶⁸ And, of course, these factors impinge upon one another in cognitive psychology terms.

However these reasons netted-out, Duterte responded to the Tribunal ruling by offering Beijing what Raymond and Welch describe as “a face-saving olive branch in return for restored access to Scarborough Shoal and promises of economic gain.”¹⁶⁹ In line with Camba’s analysis, Duterte did see some meaningful – though more symbolic than substantive – positive economic changes from Beijing in his term. Conciliation towards China met with the end of the banana

¹⁶² Ibid, 10

¹⁶³ Ibid., 15

¹⁶⁴ Poling, *On Dangerous Ground*, 195.

¹⁶⁵ Camba, “From Aquino III,” 20.

¹⁶⁶ Quilop, “Consistency,” 153.

¹⁶⁷ Camba, “From Aquino III,” 20.

¹⁶⁸ Ibid; Poling, *On Dangerous Ground*, 233.

¹⁶⁹ Raymond and Welch, “What’s Really Going On,” 228.

ban, promised investments and aid of roughly \$24B (of which, perhaps \$2B materialized), and the encouragement of Chinese tourism in the Philippines.¹⁷⁰

That all said, there is a significant literature which clarifies (a) the limits of Duterte's policy of conciliation towards Beijing, and (b) the extent to which even those limited changes began to reverse by the end of his administration. Andrew Chubb observes of the Tribunal ruling that, as soon as August 2016, "[Duterte] referred to it as 'a piece of paper' with 'four corners' that could not be escaped, reserving the right to invoke it in the future."¹⁷¹ Furthermore, Aries A. Arugay, in a thoughtful paper titled "Defying the Water's Edge: The Philippines and Its Strategic Policy toward the United States-China Competition," surveyed over six hundred members of the Philippine civilian and uniformed national security elite. He found that the vast majority of those elite had far more positive views of the United States than of China – for instance, 85.2% versus 27.6% for which countries the Philippines should "forge security partnerships with," regarding the United States and China.¹⁷² The paper particularly explores the strategic culture of the Philippines' security elite, which has been importantly shaped by American national security practices and cooperation, as well as civil military relations. Arugay notes insightfully that Duterte has relied on retired and active generals in governance – not only for traditional security-related fields such as foreign and defense policy, but also health and education – far more than his predecessors. In part because of this reliance, Duterte's cabinet was made up of people whose institutions had histories of cooperation with the United States.¹⁷³ Arugay summarizes:

The country's bureaucracy is not entirely convinced that it is in the interest of the country to forge closer strategic relations [with China]. In this sense, there is sub-state evidence that the Philippines might likely rely on China for economic benefits while continuing to be loyal to its traditional partners to further its security interests despite the prodding of Duterte and his political allies. As his government ends its tenure in 2022 and unless his true proxy wins the presidency, it is doubtful whether this pro-China push will be sustained.¹⁷⁴

Moreover, even during the Duterte administration, there were initial signs of a shift away from conciliation towards Beijing. For instance, what American analysts have dubbed "Assertive Transparency," a policy by which Manila publicizes and piles reputational costs on China for its acts of coercion in the South China Sea, arguably has its origins in the spring of 2021, following the discovery of hundreds of Chinese maritime militia vessels at Whitsun Reef.¹⁷⁵ The Philippines approach to transparency has grown iteratively, from releasing photos occasionally to taking and releasing videos to having journalists accompanying Philippine vessels in their patrols, and is certainly more extensive in the Marcos, Jr., administration than in the Duterte one, but there is more continuity than might at first appear. Furthermore, Quilop argues that the Enhanced Defense Cooperation Agreement expansion signed in April 2023, during the Marcos, Jr. administration, which allowed the United States access to four more EDCA sites, likely had

¹⁷⁰ Camba, "From Aquino III," 23.

¹⁷¹ Chubb, "Dynamics of Assertiveness," 41.

¹⁷² Arugay, Aries A. "Defying the Water's Edge: The Philippines and Its Strategic Policy toward the United States-China Competition," *The New Normal of Great Power Competition: The U.S.-China-Russia Relationship and the Indo-Pacific Region* (NIDS International Symposium on Security Affairs, December 2022), 78.

¹⁷³ *Ibid.*, 86, 88.

¹⁷⁴ *Ibid.*, 90.

¹⁷⁵ Greg Poling and Bonnie Glaser, "China's Power Grab in the South China Sea," *Foreign Affairs*, August 20, 2021. <https://www.foreignaffairs.com/articles/china/2021-08-20/chinas-power-grab-south-china-sea>

roots in the Duterte administration: “Talks over expanding the number of bases could not have commenced when the Marcos Jr. administration entered office in mid-2022. Indeed, such discussions would have taken months, even years, to negotiate.”¹⁷⁶ Whether or not Quilop is correct about these particular talks – between June 30, 2022, and April 2023 is a nontrivial number of months – that contention illustrates a larger pattern of partial foreign policy consistency between the late Duterte administration and the Marcos, Jr. administration.

The clearest signal of consistency between the Marcos, Jr. administration and the Duterte administration was the presence of Sara Duterte, Rodrigo’s daughter, as Marcos Jr.’s vice-president. The two of them ran as a “UniTeam” ticket in 2022. Marcos Jr., in his inauguration speech, said that the electorate was calling for “unity, unity, and unity,” stated that “I thank my predecessor for the courage of his hard decisions,” and stated that “we shall seek, not scorn dialogue, [and] listen respectfully to contrary views.”¹⁷⁷ Both Marcos Jr. (58.8) and Sara Duterte (61.5) won their elections in a landslide, by fifteen points highest in modern Filipino Presidential elections.¹⁷⁸

Yet there is more to this story than meets the eye. Filipino scholars have detailed the struggle between the Marcos and Duterte families behind the scenes, and it bears intimately on the foreign policy of the Marcos Jr. administration.

Signs of dispute emerged early, with Sara Duterte denied the powerful position of Minister of Defense, instead receiving the Department of Education – which still has one of the largest budgets of Philippine agencies, but which is notably less prominent than Defense.¹⁷⁹ In November 2023, Sara Duterte lost her bid for what Heydarian described as her “sizable and notorious discretionary funds,” which were “the staple of unaccountable politics and misgovernance under the Duterte dynasty at both the local and national levels.” And, in early 2024, Marcos Jr.’s allies prosecuted pastor Apollo Quiboloy – a key Duterte ally – who was on the FBI’s most-wanted list for human trafficking.¹⁸⁰ In June 2024, Sara Duterte resigned from the office of the vice president; a week later, she announced that her father and two brothers would run for the Philippine Senate; and, in July, she stated she would miss Marcos Jr.’s state of the union, describing herself as a “Designated Survivor,” which some took as a threat against the backdrop of public warnings from the Philippine military about coup plots.¹⁸¹

Most importantly, these domestic disputes have a foreign policy correlate: China. The limits to Duterte’s conciliation towards Beijing, and the signs of retrenchment in that policy by the end of his administration notwithstanding, his was assuredly a more China-friendly approach than is his

¹⁷⁶ Quilop, “Consistency,” 150.

¹⁷⁷ President Ferdinand Marcos Jr., “Full text of Ferdinand 'Bongbong' Marcos Jr's inaugural address,” June 30, 2022, *Philstar Global*. <https://www.philstar.com/headlines/2022/06/30/2192047/full-text-ferdinand-bongbong-marcos-jrs-inaugural-address#:~:text=We%20are%20here%20to%20repair,but%20always%20from%20us%2C%20Filipinos.>

¹⁷⁸ Richard Javad Heydarian, “Welcome to Manila’s Game of Thrones,” *Journal of Democracy*, July 2024. <https://www.journalofdemocracy.org/online-exclusive/welcome-to-manilas-game-of-thrones/> Since President Ferdinand Marcos won with approximately 61% of the vote in 1969, the highest subsequent vote was by President Aquino III in 2010, with approximately 42%.

¹⁷⁹ Camba, “From Aquino III,” 25.

¹⁸⁰ Heydarian, “Welcome to Manila’s Game of Thrones.” Quiboloy has since gone into hiding. Heydarian expands: “The Quiboloy episode was largely seen as a dress rehearsal for a crackdown on the Dutertes themselves. The Philippine Congress, packed by Marcos allies, soon pursued multiple charges against the Dutertes over corruption scandals and widespread human-rights violations. The Dutertes ended up like a ‘boiling frog,’ witnessing their steady marginalization and potential prosecution.”

¹⁸¹ *Ibid.*

successor's. Marcos, Jr. has tacked towards the United States, as well as Japan, Australia, and the institutional West more broadly. His self-articulated foreign policy approach is “always looking for ways to collaborate and cooperate with the end goal of mutually beneficial outcomes and working to develop consensus in case of differences.”¹⁸² Some have described the policy as akin to hedging, with Marcos, Jr., seeking to “maximize what it can get from both the US and Beijing.”¹⁸³ He visited Xi Jinping in Beijing in January 2023 and agreed on a series of economic, cultural, and political goals, and it is clear that he does not seek “decoupling” from China.

Heydarian proposes that Marcos, Jr.'s priority is “to rebrand his notorious family's reputation and, accordingly, pave the way for the seamless political rise of his sons.”¹⁸⁴ This accords with Camba, who argues that expanded Philippine ties to Japan, Australia, and South Korea, as well as the four additional bases under the Enhanced Defense Cooperation Agreement, “fundamentally goes back to political survival, particularly the desire to weaken the Duterte faction in government.”¹⁸⁵

If this is true, Marcos, Jr. plausibly faces a decision model in which he can either (a) assert Philippine sovereignty over the Second Thomas Shoal or (b) decline to challenge China. In keeping with the “Transparency Initiative,” which western analysts have dubbed “assertive transparency,” should it pursue option (a), Manila may publicize an attempt at asserting sovereignty over Second Thomas.¹⁸⁶ In response, China is likely to do something coercive, as laid out by Ketian Zhang in “Cautious Bully:” when faced with assertions that are salient and visible, Beijing tends to respond with displays of resolve.¹⁸⁷ What China does, the Filipino public strongly objects to; that weakens the Philippine domestic constituency for a pro-China policy and builds up support for a West-aligned policy. That, in turn, weakens the Duterte-aligned faction within Manila and strengthens the Marcos, Jr.-aligned faction.

The “Transparency Initiative” has succeeded greatly in (a) consolidating international support for the Philippines, particularly in the Global West, and in (b) consolidating domestic support for the Marcos, Jr. administration. Where it has not yet succeeded is in altering China's behavior. The analysts Edcel John A. Ibarra and Aries A. Arugay write:

Surveys have shown that Filipinos strongly approve of the Marcos administration's approach in the SCS disputes, which includes the transparency initiative. As domestic public opinion solidifies, even the country's political elites, notably senators, have had no choice but to rally behind the government's policy. Some of these now-vocal senators included former allies of Duterte, who had previously either defended the ex-president's soft stance on China or stayed silent amid news of Chinese maritime coercion. But if the objective is to dissuade China from pushing ahead with its coercive grey-zone tactics, then the approach has not succeeded.¹⁸⁸

¹⁸² Ferdinand Marcos, Jr., quoted in Quilop, “Consistency,” 149.

¹⁸³ Camba, “From Aquino,” 26.

¹⁸⁴ Heydarian, “Welcome to Manila's Game of Thrones.”

¹⁸⁵ Camba, “From Aquino,” 11.

¹⁸⁶ Edcel John A. Ibarra and Aries A. Arugay, “Something Old, Something New: The Philippines' Transparency Initiative in the South China Sea,” *Fulcrum*, May 6, 2024. <https://fulcrum.sg/something-old-something-new-the-philippines-transparency-initiative-in-the-south-china-sea/#:~:text=WHAT'S%20IN%20A%20NAME?,names%20to%20the%20new%20approach>.

¹⁸⁷ K. Zhang, “Cautious Bully.”

¹⁸⁸ Edcel John A. Ibarra and Aries A. Arugay, “Something Old, Something New: The Philippines' Transparency Initiative in the South China Sea.”

V. Interstate Dynamics and Risks of Conflict

It is difficult to assess the efficacy of what is generally described as the Philippines’ “Transparency Initiative.” It is also difficult to determine how and when it began, with important movements towards it in the late Duterte administration. For instance, Greg Poling and Bonnie Glaser write, in 2021:

For two months following the discovery of the Chinese militia boats at Whitsun [in February], Philippine coast guard vessels made regular trips out to the reef to document the Chinese flotilla. In an overdue act of transparency, they photographed the hull numbers of individual militia vessels, and a government body housed within the president’s office released those images to the press. This allowed researchers at the Asia Maritime Transparency Initiative and the U.S. Naval War College to identify the vessels, their ports of origin, and in some cases their owners and connection to Chinese state networks.¹⁸⁹

This policy perhaps reached its zenith in June 2024, with videos proliferating of Chinese Coast Guard personnel wielding axes against Philippine Marines who were reportedly under orders to remain unarmed and noncombative. Both Philippine and foreign commentators see the policy as having succeeded in (a) rallying the support of the Global West, including generating foreign military funding of up to \$500M from the U.S. Congress – which, per one senior American analyst, was limited only the Philippine military’s capacity to absorb it, and would have been higher – and (b) consolidating Marcos, Jr.’s domestic power and support from the Philippine establishment for his policies. It has not, however, succeeded in (c) changing China’s behavior.¹⁹⁰

Ketian Zhang’s “Cautious Bully” offers a causal explanation for this: higher visibility and higher salience acts of assertion by other claimant states are *more* likely to beget coercive responses from Beijing, as China seeks to demonstrate resolve and deter future acts of coercion. In this telling, the Philippines’ “Transparency” works effectively at rallying global support, but cross-purposes at actually preventing coercion. The argument of “Cautious Bully” also holds that China would be less likely to coerce *militarily* when it faces a risk of geopolitical backlash – in essence, balancing – and more likely to coerce *economically* when it does.¹⁹¹ Ryan Hass also warns against the Philippines’ informational strategy, writing: “Washington should also encourage Manila to refrain from publicizing every encounter between Philippine and Chinese forces near Second Thomas Shoal. China is not embarrassed by evidence of its heavy-handedness when it comes to its assertions of national sovereignty and territorial integrity. The more international media highlight every cat-and-mouse encounter between Chinese and Philippine forces, the more public pressure there will be on leaders in Beijing, Manila, and Washington to demonstrate resolve. This heightened public scrutiny and accompanying

¹⁸⁹ <https://www.foreignaffairs.com/articles/china/2021-08-20/chinas-power-grab-south-china-sea>

¹⁹⁰ Derek Grossman, author interview; Edcel John A. Ibarra and Aries A. Arugay, “Something Old, Something New: The Philippines’ Transparency Initiative in the South China Sea,” *Fulcrum*. May 6, 2024. <https://fulcrum.sg/something-old-something-new-the-philippines-transparency-initiative-in-the-south-china-sea/#:~:text=WHAT'S%20IN%20A%20NAME?,names%20to%20the%20new%20approach.>

¹⁹¹ Zhang, Ketian. “Cautious Bully: Reputation, Resolve, and Beijing’s Use of Coercion in the South China Sea.” *International Security* 44, no. 1 (July 1, 2019): 117–59. https://doi.org/10.1162/isec_a_00354.

nationalist fervor will make diplomacy more difficult.”¹⁹² Derek Grossman seconds this assessment, holding that changes in China’s leadership – from the reputation-sensitive Jiang and Hu coteries to the reputation-insensitive Xi cadre – weakens the effects of reputational costs on China.¹⁹³

It is unclear how these arguments – and Zhang’s in particular – fit with recent events. The core response of the Philippines to Chinese coercion over the past four years, from the late Duterte administration forward, has been balancing, taking the form of both strengthened bilateral relations with the United States, Japan, Australia, and Germany, and the formation of new mini-lateral alignments, such as with Japan and the United States, and Japan, the United States, and Australia. Yet China’s coercion in this period has taken militaristic forms – ranging from the use of water cannons and military-grade lasers to vessel-ramming and axe-using. One plausible explanation that rescues the causal logic of “Cautious Bully” is to suggest that China anticipates balancing behavior independently from its policies in the South China Sea – that is, reputational costs are far less salient than they had been before, as their principal effect, the increase in alliance-formation and balancing behavior among potential adversaries, no longer applies. Da Wei, the Director of the Center for International Security and Strategy (CISS) at Tsinghua University, has said that China’s strategic classes largely agree that U.S. hostility is based on China’s power, rather than its behavior.¹⁹⁴ If that is widely believed, it may not be the case that Beijing has ceased to worry about reputational costs, but only that it believes its actions no longer affect the prospect of incurring reputation harms, at least vis-à-vis the United States.

Perhaps, however, even more recent events undermine this interpretation. Though it is – to misquote Zhou Enlai – “too soon to tell” whether the July 2024 provisional agreement between China and the Philippines will lastingly reduce tensions over *Sierra Madre* resupply missions, it is nevertheless significant that (a) the two parties signed this treaty, even as they subsequently disputed its exact content; (b) Manila announced that the *Sierra Madre* had been fortified to last for ten more years; and (c) China appears not to have taken coercive action to prevent Philippine resupply missions since the agreement was signed. Off-the-record, Chinese scholars *do* report serious concern with the reputation costs that attended the videos of mid-June.

An argument from Mark Raymond and David Welch about China’s approach to the 2016 Tribunal, that Beijing sought to play a two-level game by maintaining its nationalist credentials domestically while largely abiding by the ruling internationally, may be relevant here. It is entirely possible that Beijing will continue to make announcements – as indeed it already has – that it is permitting Philippine resupply missions to the *Sierra Madre* so long as they are announced and inspected ahead of time. That is certainly not Manila’s interpretation of their agreement, and the Philippines state that no such inspection has occurred. If the Philippines account is accurate, Beijing may see significant value in disputing it publicly but accepting the agreement operationally.

How might we adjudicate this question of whether China is still attentive to reputational costs in the South China Sea? Several distinct hypotheses are compatible with what has occurred so far: China does still care about reputational costs, but is seeking to manage them via a two-level game; China does still care about reputational costs, but believes that they hinge now more on its

¹⁹² Ryan Hass, “Avoiding War in the South China Sea,” <https://www.foreignaffairs.com/united-states/avoiding-war-south-china-sea>

¹⁹³ Derek Grossman, “Philippines and Vietnam’s South China Sea strategies have failed,” *Nikkei Asia*, July 15, 2024, <https://asia.nikkei.com/Opinion/Philippines-and-Vietnam-s-South-China-Sea-strategies-have-failed>

¹⁹⁴ Da Wei interview with Kaiser Guo on *Sinica*.

power than its policies; China no longer cares about reputational costs, because of changes in its regime, particularly in Xi Jinping.

Perhaps one approach is to outline a series of possible events that would 'fit' with each hypothesis, at least vis-à-vis the South China Sea.